

Consolidated financial statements

As of December 31, 2025, and 2024

Global Atlantic Re Limited

(a wholly-owned subsidiary of

Global Atlantic Limited (Delaware))



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INDEPENDENT AUDITOR'S REPORT

To The Board of Directors of
Global Atlantic Re Limited

Opinion

We have audited the consolidated financial statements of Global Atlantic Re Limited and subsidiaries (the "Company"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of income (loss), comprehensive income (loss), shareholder's equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

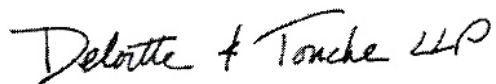
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional

omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

A handwritten signature in black ink that reads "Deloitte & Touche LLP". The signature is written in a cursive, flowing style.

April 23, 2026

Consolidated balance sheets

	As of December 31,	
	2025	2024
(\$ in millions, except share data)		
Assets		
Investments:		
Fixed maturity securities, available-for-sale, at fair value (amortized cost: \$15,298 and \$14,304, respectively.)	\$ 14,366	\$ 12,806
Fixed maturity securities, trading, at fair value (amortized cost: \$3,899 and \$4,143, respectively.)	3,682	3,404
Mortgage and other loan receivables	6,184	6,004
Funds withheld receivable at interest	75,297	64,160
Real assets	92	28
Other investments	983	95
Total investments	100,604	86,497
Cash and cash equivalents	881	903
Accrued investment income	236	208
Reinsurance recoverable	38,670	29,517
Insurance intangibles	3,691	3,481
Other assets	1,092	1,652
Total assets	145,174	122,258
Liabilities		
Policy liabilities (portion at fair value: \$892 and \$744, respectively; market risk benefit liabilities: \$634 and \$467, respectively.)	100,125	87,768
Funds withheld payable at interest	39,458	29,787
Other liabilities	112	578
Reinsurance liabilities	1,061	891
Total liabilities	140,756	119,024
Commitment and contingencies (Note 15)		
Shareholder's equity		
Common stock, \$1 par value, 370,000 shares authorized, issued and outstanding	—	—
Additional paid-in capital	4,018	3,383
Retained earnings (deficit)	827	600
Accumulated other comprehensive income (loss)	(427)	(749)
Total shareholder's equity	4,418	3,234
Total liabilities and shareholder's equity	\$ 145,174	\$ 122,258

See accompanying notes to consolidated financial statements.

Consolidated statements of income (loss)

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Revenues		
Premiums	\$ 953	\$ 1,436
Policy fees	400	411
Net investment income (loss)	2,827	2,504
Net investment-related gains (losses)	162	106
Other income (loss)	108	96
Total revenues	4,450	4,553
Benefits and expenses		
Policy benefits and claims (market risk benefit loss (gain): \$ 151 and \$(95), respectively; remeasurement (gain) loss on policy liabilities: \$(14) and \$(26), respectively.)	3,827	3,390
Amortization of policy acquisition costs	(245)	(312)
Insurance expenses	558	727
General and administrative expenses	27	32
Total benefits and expenses	4,167	3,837
Income (loss) before income taxes	283	716
Income tax expense (benefit)	56	157
Net income (loss)	\$ 227	\$ 559

See accompanying notes to consolidated financial statements.

Consolidated statements of comprehensive income (loss)

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Net income (loss)	\$ 227	\$ 559
Other comprehensive income (loss), before tax:		
Unrealized gains (losses) on available-for-sale securities for the period	280	(57)
Reclassification adjustment for gains (losses) on hedging instruments reclassified to other instruments	(7)	—
Less: reclassification adjustment for gains (losses) included in net income	(289)	(78)
Unrealized gains (losses) on available-for-sale securities	562	21
Unrealized gains (losses) on hedging instruments	7	(11)
Less: reclassification adjustment for gains (loss) on hedging instruments reclassified to other instruments	7	—
Unrealized gains (losses) on hedging instruments	—	(11)
Effect on changes in the fair value of policyholder liabilities attributable to a change in own credit spreads	(1)	(3)
Effect of changes in the fair value of a market risk benefit attributable to a change in the instrument-specific credit risk	(17)	(12)
Effect of changes in the discount rates used to measure limited-payment long duration insurance contracts	(221)	115
Net effect on policyholder balances	(239)	100
Other comprehensive income (loss), before taxes	323	110
Income tax expense (benefit) related to other comprehensive income (loss)	(1)	(35)
Other comprehensive income (loss), after taxes	322	75
Comprehensive income (loss)	\$ 549	\$ 634

See accompanying notes to consolidated financial statements.

Consolidated statements of shareholder's equity

	Common stock		Additional paid-in capital		Retained earnings (deficit)		Accumulated other comprehensive income (loss)		Total shareholder's equity	
(\$ in millions)										
Balance as of December 31, 2023	\$	—	\$	2,733	\$	221	\$	(824)	\$	2,130
Net income (loss)				—		559		—		559
Other comprehensive income (loss)		—		—		—		75		75
Capital contributions		—		800		—		—		800
Return of capital		—		(150)		—		—		(150)
Dividends		—		—		(180)		—		(180)
Balance as of December 31, 2024	\$	—	\$	3,383	\$	600	\$	(749)	\$	3,234
Net income (loss)		—		—		227		—		227
Other comprehensive income (loss)		—		—		—		322		322
Capital contributions		—		635		—		—		635
Balance as of December 31, 2025	\$	—	\$	4,018	\$	827	\$	(427)	\$	4,418

See accompanying notes to consolidated financial statements.

Consolidated statements of cash flows

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Cash flows from operating activities		
Net income (loss)	\$ 227	\$ 559
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Net investment and policy liability related (gains) losses	627	484
Net accretion and amortization	17	51
Interest credited to policy account balances less policy fees	2,732	2,186
Deferred income tax expense (benefit)	19	110
Changes in operating assets and liabilities:		
Reinsurance transactions and acquisitions, net of cash provided (used)	—	(6)
Change in premiums, funds withheld, and reinsurance recoverable, net of reinsurance premiums payable	(7,564)	(3,249)
Change in insurance intangibles	(491)	(482)
Change in accrued investment income	(28)	(38)
Change in policy liabilities and accruals, net	2,596	(594)
Other operating activities, net	88	50
Net cash provided by (used in) operating activities	(1,777)	(929)
Cash flows from investing activities		
Proceeds from disposals of available-for-sale fixed maturity securities	6,416	3,580
Proceeds from maturities of available-for-sale fixed maturity securities	2,056	1,548
Proceeds from disposals and maturities of trading fixed maturity securities	2,168	4,070
Proceeds from disposals of equity securities	563	10
Proceeds from mortgage and other loan receivables sold, matured or collected	906	363
Proceeds from disposals of other investments	5	166
Purchase of available-for-sale fixed maturity securities	(9,723)	(6,878)
Purchase of trading fixed maturity securities	(2,393)	(2,460)
Purchase of equity securities	(687)	(10)
Purchase of mortgage and other loan receivables	(1,096)	(3,845)
Purchase of other investments	(313)	(12)
Other investing activities, net	—	(118)
Net cash provided by (used in) investing activities	(2,098)	(3,586)
Cash flows from financing activities		
Reinsurance transactions, net of cash provided (used)	—	54
Additions to contractholder deposit funds	12,134	12,388
Withdrawals from contractholder deposit funds	(8,541)	(8,790)
Capital contributions	260	800
Return of capital to parent	—	(150)
Dividends paid	—	(180)

Consolidated statements of cash flows

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Net cash provided by (used in) financing activities	3,853	4,122
Net change in cash and cash equivalents	(22)	(393)
Cash and cash equivalents, beginning of period	903	1,296
Cash and cash equivalents, end of period	\$ 881	\$ 903

Supplemental cash flow information

Income tax payments (receipts)	\$ 17	\$ 36
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Non-cash transactions

Contractholder deposit funds acquired through reinsurance agreements	\$ 1,886	\$ 6,352
Other investments contributed in-kind from parent	375	—
Available-for-sale fixed maturity securities acquired through reinsurance agreements	—	1,253
Trading fixed maturity securities acquired through reinsurance agreements	—	3,507

See accompanying notes to consolidated financial statements.

(1) Nature of business and basis of presentation

Global Atlantic Re Limited ("Global Atlantic Re," the "Company," we, our, or us) is a Bermuda registered company and wholly-owned subsidiary of Global Atlantic Limited (Delaware) ("GALD," "Global Atlantic," or "GALD"), a Delaware registered corporation. GALD is an indirect wholly-owned subsidiary of The Global Atlantic Financial Group LLC ("TGAFG"), a Bermuda registered company.

The Company is registered under the Insurance Act 1978 as a Class C and Class 3A insurer. The Company assumes individual and institutional reinsurance solutions; the transactions include reinsurance of life and retirement blocks, funding agreements, pension risk transfer, and the reinsurance of a share of future premiums ("flow reinsurance"). The consolidated financial statements reflect the reinsurance transactions entered into between Global Atlantic Re and affiliated and non-affiliated counterparties. These reinsurance transactions comprise block reinsurance, funding agreements, pension risk transfer and flow reinsurance transactions, as described in Note 8 — "Reinsurance."

KKR initial acquisition of Global Atlantic Financial Group Limited

On February 1, 2021, KKR & Co. Inc. (together with its subsidiaries, "KKR") completed the acquisition of the Company's ultimate parent, Global Atlantic Financial Group Limited ("GAFG"), by Magnolia Parent LLC ("Magnolia"), a KKR subsidiary, as contemplated by the Agreement and Plan of Merger, dated July 7, 2020 (as amended, the "2021 Merger Agreement"), by and among GAFG, Global Atlantic Financial Life Limited ("GAFL"), Magnolia, Magnolia Merger Sub Limited ("Merger Sub"), LAMC LP, and Goldman Sachs & Co. LLC, solely in its capacity as the equity representative, referred to here-in as the "2021 KKR Acquisition." The total purchase price for the transaction was \$4.7 billion. Upon the conclusion of the acquisition, Magnolia was renamed to TGAFG.

KKR subsequent acquisition of remaining non-controlling interests in The Global Atlantic Financial Group

On January 2, 2024, KKR completed the merger previously announced on November 29, 2023, as contemplated by the Agreement and Plan Merger, (the "2023 Merger Agreement") by and among KKR Magnolia Holdings LLC ("Magnolia Holdings"), an indirect subsidiary of KKR, Sweetbay Merger Sub LLC, a direct subsidiary of Magnolia Holdings ("Merger Sub") and The Global Atlantic Financial Group and together with its subsidiaries, Global Atlantic, pursuant to which KKR acquired the remaining portion of Global Atlantic that KKR did not already own (the "2024 KKR Acquisition"). At the closing of the transaction (the "Closing"), Merger Sub merged with and into TGAFG, with TGAFG surviving the merger, resulting in Global Atlantic becoming a wholly owned subsidiary of KKR.

Following the merger, the Company's parent was re-domesticated from Bermuda to Delaware, and changed its name to Global Atlantic Limited (Delaware).

Significant transactions

In June 2024, the Board of Directors of the Company, Global Atlantic Assurance Limited ("GAAL"), a Bermuda domiciled company, and GALD voted to proceed with an internal reorganization of certain subsidiaries in the second quarter of 2024 to simplify the corporate structure, or the "Reorganization."

On June 30, 2024, GA Re Bermuda HoldCo Limited ("GA Bermuda HoldCo"), a Bermuda exempted company, and Global Atlantic Re Limited U.S. HoldCo ("GA Delaware HoldCo") a Delaware corporation, merged with and into GALD, with GALD surviving the Reorganization, resulting in the Company becoming a direct, wholly-owned subsidiary of GALD. Prior to June 30, 2024, the Company was jointly owned by

GALD, a 75% owner, and by GA Delaware HoldCo, a 25% owner. As GALD held controlling interests both in the Company and GA Delaware HoldCo, the transaction was considered to be a transaction between entities under common control.

Concurrently, on June 30, 2024, GALD also contributed all of its common stock in GAAL to GA Re, resulting in GAAL becoming a direct, wholly-owned subsidiary of GA Re. The contribution of GAAL's ownership to GA Re by GALD, a common parent, was considered to be a transaction between entities under common control. Accordingly, the contribution of GAAL's ownership to GA Re was accounted for on a carryover basis whereby GAAL was recorded based on GALD's historical carrying amounts in the GA Re's financial statements.

Basis of presentation

The consolidated financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP"), which differ in certain respects from those followed in reports to the Bermuda Monetary Authority (the "BMA"), the insurance regulatory authority of Company.

The preparation of consolidated financial statements in conformity with U.S. GAAP requires the Company to make estimates and assumptions that affect the reported amounts of assets and liabilities, the disclosure of any contingent assets and liabilities as of the date of the consolidated financial statements, and the amounts of revenues and expenses recognized during the reporting period. Amounts based on such estimates involve numerous assumptions subject to varying and potentially significant degrees of judgment and uncertainty, particularly related to the future performance of the underlying business. Actual experience could materially differ from these estimates and assumptions. The most significant estimates are those used in determining valuation and impairment of investments, valuation of embedded derivatives, valuation of policy liabilities, and income taxes.

The consolidated financial statements include the results of operations and financial position of the Company and all other entities in which the Company has a controlling financial interest. All intercompany accounts and transactions have been eliminated in consolidation.

(2) Significant accounting policies

The following are the Company's significant accounting policies and references to notes providing additional information on policies:

Accounting policy	Note
Investments	3, 4 and 5
Investment impairment	3 and 5
Derivative instruments	4, 5 and 7
Insurance intangibles	6
Policy liabilities	7
Income taxes	12
Reinsurance	8

Investments

In the normal course of business, the Company enters into transactions involving various types of investments.

Investments include the following: U.S. government and agency obligations; commercial mortgage-backed securities ("CMBS"), residential mortgage-backed securities ("RMBS"), collateralized loan obligations ("CLOs"), collateralized bond obligations ("CBOs") and all other structured securities, consisting primarily of asset-backed securities ("ABS") (collectively, "structured securities"); corporate bonds; state and political subdivision obligations; foreign government obligations; equity securities; mortgage and other loan receivables; policy loans; and other non-derivative investments.

Available-for-sale fixed maturity securities

The Company primarily accounts for its fixed maturity securities (including bonds and structured securities) as available-for-sale ("AFS"). AFS fixed maturity securities are generally recorded on a trade-date basis, and are carried at fair value. Impairment associated with AFS fixed maturity securities is recognized as an allowance for credit losses. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) for securities identified as credit impaired after purchase, or by a gross-up recognition of an initial allowance for purchased credit deteriorated ("PCD") securities.

PCD securities are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. The Company considers an AFS fixed maturity security to be PCD if there are indicators of a credit loss at the acquisition date or, in the case of structured securities, if there is a significant difference between contractual cash flows and expected cash flows at acquisition. The initial amortized cost for a PCD security equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a discounted cash flow method, based on the best estimate of the present value of cash flows expected to be collected. After purchase, the accounting for a PCD security is generally consistent with that applied to all other securities.

Unrealized gains and losses on AFS fixed maturity securities, net of tax, are reported in accumulated other comprehensive income (loss) in the consolidated balance sheets. Realized investment gains and losses are recognized on a first-in, first-out basis, and are reported in net investment-related gains (losses) in the consolidated statements of income (loss). The amortized cost of fixed maturity securities is

adjusted for impairment charge-offs, amortization of premiums, and accretion of discounts. Such amortization and accretion is calculated using the effective yield method and included in net investment income (loss) in the consolidated statements of income (loss).

For structured securities, the Company recognizes interest income utilizing a constant effective yield based on estimated cash flows generated from internal models utilizing interest rate, default and prepayment assumptions. Effective yields for structured securities that are not of high credit quality are recalculated and adjusted prospectively based on changes in expected undiscounted future cash flows, after consideration of any appropriate recognition or release of an allowance for credit losses. For structured securities that are of high credit quality, effective yields are recalculated based on payments received and updated prepayment expectations, and amortized cost is adjusted to the amount that would have existed had the new effective yield been applied since acquisition, with a corresponding charge or credit to net investment income (loss). Prepayment fees are recorded when earned in net investment income in the consolidated statements of income (loss).

The Company generally suspends accrual of interest for securities that are more than 90 days past due, and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a security is in non-accrual status, coupon payments are recognized as interest income as cash is received, subject to consideration as to the overall collectability of the security. A security is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Trading fixed maturity securities

The Company accounts for certain fixed maturity securities as trading at acquisition, based on intent or via the election of the fair value option. Trading securities are generally recorded on a trade-date basis and are carried at fair value, with realized and unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Interest income from these securities is reported in net investment income (loss). Trading securities, which are primarily used to match asset and liability accounting, back funds withheld payable at interest where the investment performance is ceded to reinsurers under the terms of the respective reinsurance agreements.

Equity securities

The Company accounts for its investments in equity securities (including common stock and non-redeemable preferred stock) that do not require equity method accounting or result in consolidation, at fair value. Realized and unrealized investment gains and losses are reported in net investment-related gains (losses) in the consolidated statements of income (loss).

Mortgage and other loan receivables

The Company purchases mortgage and other loan receivables, and these loans are carried at cost, less the allowance for credit losses and as adjusted for amortization/accretion of premiums/discounts. The allowance for credit losses is established either by a charge to net investment-related gains (losses) in the consolidated statements of income (loss) or, for PCD mortgage and other loan receivables, by a gross-up recognition of the initial allowance in the consolidated balance sheets.

PCD mortgage and other loan receivables are those purchased by the Company that were assessed at acquisition as having experienced a more-than-insignificant deterioration in credit quality since their origination. PCD mortgage and other loan receivables also include those mortgage and other loan receivables previously held by the Company that were similarly assessed at the time of the 2021 KKR Acquisition. The initial amortized cost for a PCD mortgage or other loan receivable equals the purchase price plus the initial allowance for credit losses. The initial allowance for credit losses is determined using a

method consistent with that used for other similar loans. See further discussion of allowance methods below. After purchase, the accounting for a PCD mortgage or other loan receivable is consistent with that applied to all other mortgage and other loan receivables.

The Company has elected the fair value option for certain mortgage and other loan receivables, when purchased or originated. Changes in the fair value of these mortgage and other loan receivables are reported in net investment related gains (losses) in the consolidated statements of income (loss).

Interest income is accrued on the principal balance of each loan based on its contractual interest rate. The accrual of interest is generally suspended when the collection of interest is no longer probable or the collection of any portion of principal is doubtful. The Company generally suspends accrual of interest for loans that are more than 90 days past due and reverses any related accrued interest to net investment income (loss) in the consolidated statements of income (loss). When a loan is in non-accrual status, coupon payments are generally recognized as interest income as cash is received, subject to consideration as to the overall collectability of the loan. A loan is returned to accrual status when the Company determines that the collection of amounts due is probable. The allowance for credit losses excludes accrued interest from the amortized cost basis for which losses are estimated.

Policy loans

Policy loans are loans policyholders take out against their life insurance policies. Each policy loan is fully collateralized by the cash surrender value of the policyholder's life insurance policy. Policy loans are carried at unpaid principal balances. Interest income on such loans is recognized as earned using the contractually agreed upon interest rate and reflected in net investment income (loss) in the consolidated statements of income (loss). Generally, interest is capitalized on the associated policy's anniversary date.

Funds withheld receivable at interest

Funds withheld receivable at interest represent receivables for amounts contractually withheld by the cedant, in accordance with reinsurance agreements in which the Company acts as the reinsurer. While the assets in funds withheld are legally owned by the ceding company, the assets are separately identified and held in trusts for the benefit of the Company. All economic rights and obligations on the assets accrue to the Company. The assets in the funds withheld segregated accounts are typically managed by an investment manager, who periodically settles the total return from those assets.

The reinsurer has an indirect exposure to the credit risk of the underlying assets of the funds withheld account. As a result, funds withheld coinsurance agreements contain embedded derivatives, which are required to be separated from their host contracts and measured at fair value. The host contract relates to the reinsurance receivable from the cedant under the funds withheld arrangement underlying the reinsurance transactions. The host contract, at inception of the reinsurance arrangement, represented the fair value of the non-cash consideration. The embedded derivative represents the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest on the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss).

Investments segregated in trusts to collateralize the funds withheld receivable at interest include the following: fixed maturity securities, mortgage and other loan receivables, policy loans, other investments, and derivative instruments.

Derivative instruments held within the funds withheld at interest are primarily used to hedge certain risks, including interest rate risk and equity market risk, and to a lesser extent foreign exchange risks. Derivative instruments are generally recognized at estimated fair value in funds withheld receivable at interest on the consolidated balance sheets.

Real assets and other investments

Real assets consist primarily of investments in real estate assets, transportation assets, energy-related assets, and infrastructure assets. Other investments include equity securities, limited partnership interests, and other interests

Real assets in the balance sheets include investments in investment partnerships, for which the Company does not have voting control or power to direct activities. These investments are accounted for using the equity method of accounting unless the Company's interest is so minor that it has virtually no influence over partnership operating or financial policies. The equity method of accounting requires that the investments be initially recorded at cost and the carrying amount of the investment subsequently be adjusted to recognize the Company's share of the earnings and losses of the investee. Where there is a difference between the cost of the investment and the Company's proportionate share of the equity method investee's net assets, this basis difference is accreted to net investment income (loss) over the life of the underlying assets. In applying the equity method, the Company uses financial information provided by the investee, generally on a one to three month lag due to the timing of the receipt of related financial statements.

The income from the Company's equity method investments is included in net investment income (loss) in the consolidated statements of income (loss). In limited circumstances, the Company elects to apply the fair value option to investment partnerships, which are carried at fair value with unrealized gains and losses reported in net investment-related gains (losses) in the consolidated statements of income (loss). Distributions from investment partnerships that apply equity method accounting are classified as either investing or operating activities within the consolidated statements of cash flows, based on the nature of the distributions.

The Company consolidates investment partnerships and other entities when it has a controlling financial interest. The results of certain consolidated investment entities are reported on a one to three month lag and intervening events are evaluated for materiality and recognition by disclosure or otherwise, as appropriate.

Included in real assets are the Company's investments in renewable energy entities, including partnerships and limited liability companies. Respective investments are consolidated when the Company has a controlling financial interest or are accounted for using the equity method of accounting when the Company has the ability to exercise significant influence but not control. These investments involve tiered capital structures that facilitate a waterfall of returns and allocations to ensure the efficient use of tax credits. A conventional income statement oriented approach to the equity method of accounting, or to the recognition of non-controlling interests (when the Company is consolidating the investment), based on ownership percentages does not accurately reflect the proper allocation of income and cash flows for these investments. Instead, the Company uses the hypothetical liquidation at book value ("HLBV") method which is a balance sheet oriented approach to the equity method of accounting and to the recognition of non-controlling interests that allocates income and cash flows based on changes to each investor's claim to net assets assuming a liquidation of the investee as of each reporting date, including an assessment of the likelihood of liquidation in determining the contractual provisions to utilize when applying the HLBV method.

The income, net of the depreciation and other expenses associated with consolidated real assets is reported in net investment income (loss) in the consolidated statements of income (loss). Income on real assets is generally earned from the lease of the assets or, in the case of energy-related assets, from the contracted sale of the energy generated. Real assets carried at depreciated cost, excluding land, are depreciated on a straight-line basis over their estimated useful lives. As appropriate, depreciation is recognized to the estimated salvage value of the respective asset.

Investments in equity securities are carried at fair value, with changes recognized in net investment-related gains (losses) in the consolidated statements of income (loss).

Derivative instruments

Derivatives are instruments that derive their values from underlying asset prices, indices, foreign exchange rates, reference rates and other inputs or a combination of these factors. Derivatives may be privately negotiated contracts, which are usually referred to as over-the-counter ("OTC") derivatives, or they may be listed and traded on an exchange ("exchange-traded"). The Company's derivative instruments are primarily used to hedge interest rate risk. Where certain criteria are met, some of these hedging arrangements may achieve hedge accounting.

Derivative instruments are recognized at estimated fair value in either funds withheld receivable at interest, other assets, funds withheld payable at interest or derivative liabilities in the consolidated balance sheets, with changes in fair value recorded in net investment-related gains (losses) in the consolidated statements of income (loss). Where certain qualifying criteria are met, some derivative instruments are designated as accounting hedges and are recognized at estimated fair value in derivative liabilities in the consolidated balance sheets. For derivative instruments designated as cash flow hedges, changes in fair value are initially recognized in accumulated other comprehensive income (loss) in the consolidated balance sheets and subsequently reclassified to the consolidated statements of income (loss) when the hedged item affects earnings, in the same line item where the hedged item is reported.

Derivative receivables and payables with a counterparty that are subject to an International Swaps and Derivatives Association Master Agreement ("ISDA") or other similar agreement that provides a legal right of setoff, are presented at their net amounts. Where the legal right of setoff exists, the Company also offsets the fair value of cash collateral received or posted under an ISDA, or other similar agreement with a counterparty, against the related derivative balances as appropriate.

Investment credit losses and impairment

AFS fixed maturity securities

One of the significant estimates related to AFS securities is the evaluation of those investments for credit losses. The evaluation of investments for credit losses is a quantitative and qualitative quarterly process that is subject to risks and uncertainties and involves significant estimates and judgments by management. Changes in the estimates and judgments used in such analysis can have a significant impact on the Company's consolidated statements of income (loss). Considerations relevant to the evaluation of credit losses may include the severity of any loss position, as well as changes in market interest rates, changes in business climate, management changes, litigation, government actions, and other similar factors that may impact an issuer's ability to meet current and future principal and interest obligations. Indicators of credit impairment may also include changes in credit ratings, the frequency of late payments, pricing levels, and deterioration in any, or a combination of, key financial ratios, financial statements, revenue forecasts, and cash flow projections.

For AFS fixed maturity securities in an unrealized loss position, the Company first considers the intent to sell a security, or whether it is more-likely-than-not that it will be required to sell the security, before the recovery of its amortized cost. If the Company intends to sell an AFS fixed maturity security with an unrealized loss or it is more-likely-than-not that it will be required to sell an AFS fixed maturity security with an unrealized loss before recovery of its amortized cost basis, the amortized cost is written down to fair value and a corresponding charge is recognized to net investment-related gains (losses).

For AFS fixed maturity securities in an unrealized loss position that the Company does not intend to sell, and will not be required to sell, the Company bifurcates the impairment into two components: credit impairment and non-credit impairment. Credit impairments are measured as the difference between the security's cost or amortized cost and its estimated recoverable value, which is the present value of its

expected future cash flows discounted at the current effective interest rate. The estimated recoverable value is subject to a floor equal to the fair value of the security. The remaining difference between the security's fair value and the recoverable value, if any, is the non-credit impairment. Credit impairments are recognized in the allowance for credit losses on AFS fixed maturity securities, which is established via a charge to net investment-related gains (losses) in the consolidated statements of income (loss) and non-credit impairments are charged to accumulated other comprehensive income (loss) in the consolidated balance sheets.

In determining the estimated recoverable value, the review of expected future cash flows for structured securities includes assumptions about key systemic risks (e.g., unemployment rates, housing prices) and loan-specific information (e.g., delinquency rates, loan-to-value ratios). Estimating future cash flows is a quantitative and qualitative process that incorporates information received from third parties, along with assumptions and judgments about the future performance of the underlying collateral. For corporate and government bonds, the recoverable value is determined using cash flow estimates that consider facts and circumstances relevant to the security and the issuer, including overall financial strength and secondary sources of repayment, as well as pending restructuring or disposition of assets.

In periods subsequent to the initial recognition of an allowance for credit losses on a fixed maturity security, whether for a PCD security or a security impaired since purchase, the Company continues to monitor credit loss expectations. Deterioration in the estimated recoverable value of a credit impaired security is recognized as an addition to the allowance for credit losses, as limited by the amount by which the security's fair value is less than amortized cost. Improvements in the estimated recoverable value of a credit impaired security or improvements in the fair value of a credit impaired security that limit the amount of the allowance result in reductions in the allowance for credit losses, which are recognized as a credit to net investment-related gains (losses) in the consolidated statements of income (loss).

Amounts are charged off against the allowance for credit losses when deemed uncollectible, or when the Company determines that it intends to sell, or more likely than not will be required to sell, the security. Charge-offs are reflected as a decrease in the allowance and a direct write down in the amortized cost of the security. If the Company recovers all or a portion of an amount previously written off on a credit impaired security, the recovery is recognized as a realized investment gain.

Mortgage and other loan receivables

The Company updates its estimate of the expected credit losses on its investments in mortgage and other loan receivables each quarter. For loans that share similar risk characteristics, expected credit losses are measured on a pool basis. For loans that do not share similar risk characteristics, expected credit losses are measured individually. Loans subject to individual evaluation include those loans that are collateral dependent, where the borrower is experiencing financial difficulty. For these collateral dependent loans, expected credit losses are measured as the difference between the fair value of the collateral (less costs to sell, where the collateral is to be sold) and the amortized cost basis of the loan.

For commercial mortgage loans, the current expected credit losses are estimated using a model that evaluates the probability that each loan will default and estimates the amount of loss given the occurrence of such a default over the life of each loan in the portfolio. The model incorporates historical and current data on the relevant property market and projects potential future paths for each loan's collateral, considering both the net income to be generated by the collateral real estate and its market value. The model considers how macroeconomic forecasts (such as gross domestic product, unemployment, and interest rates) influence commercial real estate market factors (including vacancy rates, rental and income growth rates, property value changes), and in turn how commercial real estate market conditions, in combination with loan specific information (including debt service coverage and loan to value), drive commercial mortgage loan credit risk.

For residential mortgage loans and consumer loans, the current expected credit losses are primarily estimated using a discounted cash flow model. The model considers loan-specific information as well as

current, historical and forecasted data relevant to the respective loans, including home prices, interest rates and unemployment. Expected cash flows are projected for each loan and are discounted using the effective interest rate of the respective loan. Any shortfalls between the discounted cash flows and the amortized cost of each individual loan are aggregated to determine the total allowances on the residential mortgage loan and consumer loan portfolios. For certain residential mortgage loans secured by single-family rental properties, current expected credit losses are determined using a model consistent with that described above for commercial mortgage loans.

With regard to the use of forecasts in the determination of the Company's current expected credit losses, the reversion of forecasts to historical data is based on reversion dynamics that depend on the specific variable and its interaction with the other parameters of the respective model; however, the forecasts generally tend to revert to a long-term equilibrium trend within two to three years from the forecast start date.

For the investment in other loan receivables, a variety of methodologies are used to estimate the respective current expected credit losses. These methodologies consider the terms specific to each loan, including the value of any collateral, and evaluate the risk of loss over the life of these loans.

The Company also assesses and measures an allowance for credit losses arising from off-balance sheet commitments, including loan commitments, that are not unconditionally cancellable by the Company. This allowance for credit losses for off-balance sheet commitments is determined using methods consistent with those used for the associated mortgage and other loan receivable class, as described above, and is recognized in other liabilities in the consolidated balance sheets, since there is no funded asset for the committed amount.

When all or a portion of a loan is deemed uncollectible, the uncollectible portion of the carrying amount of the loan is charged off against the allowance. If the Company recovers all or a portion of an amount previously written off on a credit impaired loan, the recovery is recognized as a realized investment gain.

Funds withheld receivable at interest

The Company reviews its funds withheld receivable at interest for expected credit losses considering, among other things, relevant credit enhancements and collateral provisions in the reinsurance arrangements.

Real assets and other investments

The determination of the amount of impairment on other classes of investments also requires significant judgment and is based upon a periodic evaluation and assessment of known and inherent risks associated with the respective asset class. Such assessments are revised as conditions change and new information becomes available.

Impairment of consolidated real assets carried at depreciated cost is assessed whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. When indicators of impairment are present, a recoverability test is performed to determine if the sum of the estimated undiscounted future cash flows attributable to the assets is greater than the carrying amount. If the undiscounted estimated future cash flows are less than the carrying amount, an impairment loss is recognized based on the amount by which the carrying amount exceeds its estimated fair value.

Impairment of investments subject to the equity method of accounting is assessed whenever events or circumstances suggest that the carrying amount may not be recoverable. An impairment charge is recognized in earnings for a decline in value that is determined to be other than temporary, and is

measured as the difference between the carrying amount and the fair value of the equity method investment as of the balance sheet date.

Cash and cash equivalents

Cash and cash equivalents in the consolidated balance sheets generally include short-term highly liquid investments with a maturity of three months or less from the date of acquisition. Amounts included are readily convertible to known amounts of cash, and are subject to an insignificant risk of change in value.

Deferral and amortization of certain revenue and expenses

Deferrals

Value of business acquired ("VOBA") represents the difference between the carrying value of the purchased insurance contract liabilities at the time of the business combination and the estimated fair value of insurance and reinsurance contracts. VOBA can be either positive or negative. Positive VOBA is recorded in insurance intangibles. Negative VOBA is recorded in the same financial statement line in the consolidated balance sheets as the policy liabilities.

Amortization

VOBA is amortized on a constant level basis for the grouped contracts over the expected economic life of the related contracts. The Company amortizes VOBA for all products on a constant level basis based on policy count, except for VOBA for traditional life products that are amortized on a constant level basis based on face amount. The constant level bases used for amortization are projected using mortality and lapse assumptions that are based on the Company's experience, industry data, and other factors and are consistent with those used for the liability for future policy benefits. If those projected assumptions change in future periods, they will be reflected in the cohort level amortization basis at that time. Unexpected lapses, due to higher mortality and lapse experience than expected, are recognized in the current period as a reduction of the capitalized balances.

Amortization of VOBA is included in amortization of policyholder acquisition costs in the consolidated statements of income (loss).

The key assumptions used in the calculation of the amortization of these balances are reviewed quarterly and updated if actual experience or other evidence suggests that current assumptions should be revised. In addition, the Company formally reviews assumptions annually as part of the assumptions review process. The effects of changes in assumptions are recorded in net income (loss) in the period in which the changes are made.

Policy liabilities

Policy liabilities (or collectively, "reserves") are the portion of past premiums or assessments received that are set aside to meet future policy and contract obligations as they become due. Interest accrues on these reserves and on future premiums, which may also be available to pay for future obligations. The Company establishes reserves to pay future policy benefits, claims, and certain expenses for its reinsured life policies and annuity contracts.

Reserves are estimates based on models that include many actuarial assumptions and projections. These assumptions and projections, which are inherently uncertain, involve significant judgment, including

assumptions as to the levels and/or timing of premiums, benefits, claims, expenses, interest credits, investment results (including equity market returns), mortality, longevity, and persistency.

The assumptions on which reserves are based are intended to represent an estimation of experience for the period that policy benefits are payable. The adequacy of these reserves and the assumptions underlying those reserves are reviewed at least annually. The Company cannot, however, determine with precision the amount or the timing of actual policy benefit payments. If actual experience is better than or equal to the assumptions, then reserves would be adequate to provide for future policy benefits and expenses. If experience is worse than the assumptions, additional reserves may be required to meet future policy and contract obligations. This would result in a charge to the Company's net income (loss) during the period in which excess policy benefits are paid, or an increase in reserves occurs.

For a majority of the Company's in-force policies, including its universal life policies and most annuity contracts, the base policy reserve is equal to the account value. For these products, the account value represents the Company's obligation to repay to the policyholder the amounts held on deposit. However, there are several significant blocks of business where additional policyholder reserves are explicitly calculated, including fixed-indexed annuities, variable annuities, universal life secondary guarantees, and preneed policies.

Annuity contracts

Fixed-indexed annuities

Policy liabilities for fixed-indexed annuities earning a fixed rate of interest and certain other fixed-rate annuity products are computed under a retrospective deposit method and represent policyholder account balances before applicable surrender charges. For certain fixed-rate annuity products, an additional reserve was established for above market interest rate guarantees upon acquisition. These reserves are amortized on a straight-line basis over the remaining guaranteed interest rate period.

Fixed-indexed annuities enable the policyholder to allocate contract value between a fixed crediting rate and strategies which reflect the change in the value of an index, such as the Standard & Poor's ("S&P") 500 Index, or other indices. These products are accounted for as investment-type contracts. The liability for these products consists of a combination of the underlying account value and an embedded derivative value.

The liability for the underlying account value is primarily based on policy guarantees, and its initial value is the difference between the premium payment and the fair value of the embedded derivative. Thereafter, the account value liability is determined using the effective yield method. All future host balances are determined as: (1) the initial host balance; (2) plus interest; (3) less applicable policyholder benefits. The interest rate used in the prior roll forward is re-determined on each valuation date, per the effective yield method. The embedded derivative component's fair value is based on an estimate of the policyholders' expected participation in future increases in the relevant index. The fair value of this embedded derivative component includes assumptions, including those about future interest rates and investment yields, future costs for options used to hedge the contract obligations, projected withdrawal and surrender activity, benefit utilization, and the level and limits on contract participation in any future increases in the respective index option. The account value liability and embedded derivative are recorded in policy liabilities in the consolidated balance sheets, with changes in value of the liabilities recorded in policy benefits and claims in the consolidated statements of income (loss).

Contractholder deposit funds reserves for certain assumed blocks of fixed-indexed and fixed-rate annuity products are accounted for as investment-type contracts. A net liability (consisting of the benefit reserve plus deferred revenue liability less ceding commission paid between a ceding and assuming reinsurance company) is established at inception and amortized under the effective yield method.

Variable annuities

The Company assumes variable annuity contracts for which the liabilities are included in policy liabilities in the consolidated balance sheets. The change in the liabilities for these benefits is included in policy benefits and claims in the consolidated statements of income. Variable annuity contracts may have certain guarantees that are accounted for as market risk benefits, which are discussed in more detail below.

Funding agreements

The Company reinsures funding agreements including agreements where the cedant has issued to special purpose entities that have issued debt securities for which payment of interest and principal is secured by such funding agreements. The Company's funding agreements are considered investment type contracts and liabilities are net deposits plus accrued and unpaid interest. The Company's obligation is reported in policy liabilities in the consolidated balance sheets. Interest expense is calculated using the effective interest method and recorded in policy benefits and claims in the consolidated statements of income (loss).

Interest-sensitive life products

The Company reinsures universal life and variable universal life policies, for which the base policy reserve is the policyholder account value. These products require that the retrospective deposit method be used. The retrospective deposit method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder.

Preneed policies

The Company's preneed life insurance contracts are accounted for as universal life-type contracts which require that the retrospective deposit method be used. This accounting method establishes a liability for policyholder benefits in an amount determined by the account or contract balance that accrues to the benefit of the policyholder. This account value is deemed to be equal to the contract's statutory cash surrender value. The majority of the Company's preneed insurance contracts feature death benefits with a discretionary death benefit growth rate. The Company has the discretion to adjust these rates up or down. The Company has established an additional reserve for expected future discretionary benefits which is reflected as policy liabilities in the consolidated balance sheets. The Company has also issued preneed insurance contracts with crediting rates tied to inflation as measured by the U.S. Consumer Price Index.

Preneed insurance contracts without a discretionary death benefit growth rate have death benefits which are fixed and guaranteed. For these contracts, the Company recognizes a liability for future policy benefits.

Traditional life and limited-payment contracts

Liability for future policy benefits

The Company reinsures traditional life and limited-payment contracts, for which the Company records a liability for future policy benefits. A liability for future policy benefits, which is the present value of estimated future policy benefits to be paid to or on behalf of policyholders and certain related expenses less the present value of estimated future net premiums to be collected from policyholders, is accrued as premium revenue is recognized. The liability is estimated using best estimate assumptions that include mortality and lapse. These assumptions are based on judgments that consider the Company's historical experience, industry data, and other factors.

Contracts are grouped into cohorts by the underlying reinsured contract type and issue year. The liability is adjusted for differences between actual and expected experience. With the exception of the expense assumption, the Company reviews its historical and future cash flow assumptions at least annually, and updates the net premium ratio used to calculate the liability each time the assumptions are changed. The Company has elected to use expense assumptions that are locked in at contract inception and are not subsequently reviewed or updated.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

The discount rate assumption is a spot rate yield curve that is derived based on upper medium grade (low credit risk) fixed-income instruments with similar duration to the liability. The Company uses one or more external indices of corporate credit issues as its proxy for these instruments. The discount rate assumption is updated quarterly and used to remeasure the liability at the reporting date, with the resulting change in the discount rate reflected in other comprehensive income (loss) ("OCI"). For liability cash flows between two market observable points on the yield curve, the Company interpolates the effective yield by holding the marginal rates constant. For liability cash flows that are projected beyond the last market-observable point on the yield curve, the Company uses the last market-observable yield level.

Payout annuities

Payout annuities include single premium immediate annuities, annuitizations of deferred annuities, pension risk transfer and structured settlements.

These contracts subject the insurer to risks over a period that extends beyond the period or periods in which premiums are collected. These contracts may be either non-life contingent or life contingent. Non-life contingent annuities are accounted for as investment contracts. For life contingent annuities, the Company records a liability at the present value of future annuity payments and estimated future expenses calculated using expected mortality and costs, and expense assumptions. Any gross premiums received in excess of the net premium is the cost of reinsurance and is recognized separately in income in a constant relationship with the discounted amount of the insurance in-force or expected future benefit payments. These liabilities are recorded in policy liabilities in the consolidated balance sheets.

Also included under payout annuities are liabilities for disability income benefits, which pertain primarily to disability income policies that are already in claim payout status. Liabilities for disability income benefits are calculated as the present value of future disability payments and estimated future expenses, using expected mortality and costs as well as interest assumptions. The liabilities are recorded in policy liabilities in the consolidated balance sheets.

Whole and term life

The Company has established liabilities for amounts payable under insurance policies, including whole life insurance and term life insurance policies. These policies provide death benefits in exchange for a guaranteed level premium for a specified period of time and, in the case of whole life, a guaranteed minimum cash surrender value. Generally, liabilities for these policies are calculated as the present value of future expected benefits to be paid, reduced by the present value of future expected net premiums. Current assumptions are used in the establishment of liabilities for future policyholder benefits including

mortality, policy lapse, renewal, investment returns, inflation, expenses and other contingent events as appropriate for the respective product.

At least quarterly, the Company updates its estimate of cash flows expected over the entire life of a group of contracts, using actual historical experience and current future cash flow assumptions. These updated cash flows are discounted using the discount rate or curve on the original reinsurance contract issue date to calculate the revised net premiums and net premium ratio, which are used to derive an updated liability for future policy benefits. This amount is then compared to the carrying amount of the liability before the updating of cash flow assumptions to determine the current period change in liability estimate. This current period change in the liability is the liability remeasurement gain or loss, and is presented parenthetically as a separate component of benefit expense in the consolidated statements of income (loss).

Long-term care

Long-term care business is assumed net of inuring reinsurance contract, which cedes all mortality and morbidity risk to a third-party reinsurer, which results in an economic profile of a period certain annuity with cash flows predetermined under the reinsurance contract. Assumed long-term care business is accounted for as an investment-type product, with a contractholder deposit reserve established at inception, and amortized under the effective yield method.

Product guarantees

Market risk benefits

The Company reinsures market risk benefits, which are contracts or contract features that both provide protection to the policy from other-than-nominal capital market risk, and expose the Company to other-than-nominal capital market risk.

Market risk benefits include certain contract features on annuity products. These features include minimum guarantees to policyholders, such as guaranteed minimum death benefits ("GMDBs"), guaranteed minimum income benefits ("GMIBs"), and guaranteed minimum withdrawal benefits ("GMWBs"). Market risk benefits are measured at fair value using a non-option valuation approach based on current net amounts at risk, market data, Company experience, and other factors. Changes in fair value are recognized in net income (loss) each period, with the exception of the portion of the change in fair value due to a change in the instrument-specific credit risk, which is recognized in OCI.

Additional liability for annuitization, death, or other insurance benefits

The Company establishes additional liabilities for contracts or contract features that provide for potential benefits in addition to the account balance but are not market risk benefits or embedded derivatives. These benefits include annuitization, death, or other insurance benefits (e.g., universal life secondary guarantees). For these benefits, the liability is the sum of the current benefit ratio multiplied by cumulative assessments and accreted interest, less excess payments.

In particular, the Company holds additional liabilities for universal life products with secondary guarantees, sometimes referred to as no-lapse guarantees. The additional liabilities are measured using the benefit ratio approach where excess benefits are spread over the life of the contract based on assessments collected from the policyholder. Generally, total expected excess benefit payments are the aggregate of death claims after the policyholder account value is exhausted. The exception is when the cost of insurance charges are insufficient to produce consistently positive earnings in the future. In this case, all death benefits are deemed to be excess benefits. For annuitization benefits, the benefit ratio is the present value of expected annuitization payments to be made less the accrued account balance at

the expected annuitization date divided by the present value of expected assessments during the accumulation phase of the contract, discounted at the contract rate. Expected annuitization payments and related incremental claim adjustment expenses, expected assessments, and expected excess payments are calculated using discount rate, mortality, lapse, and expense assumptions.

The Company recognizes a shadow reserve adjustment for the additional insurance liabilities when unrealized gains and losses are included in the investment margin while calculating the present value of expected assessments for the benefits ratios. Shadow reserve adjustments are recognized in OCI.

For additional liabilities for death or other insurance benefits, the discount rate assumption is based on the contract rate at inception. The mortality, lapse, and expense assumptions are based on Company's experience, industry data, and other factors. Assumptions are reviewed and updated, if necessary, at least annually. When those assumptions are updated, the benefit ratio and the liability are remeasured, with the resulting gain or loss reflected in policy benefits and claims in the consolidated statements of income (loss).

Outstanding claims

Outstanding claims include amounts payable relating to in course of settlement and incurred but not reported claim liabilities. In course of settlement, claim liabilities are established for policies when the Company is notified of the death of the policyholder, but the claim has not been paid as of the reporting date. Incurred but not reported claim liabilities are determined using studies of past experience and are estimated using actuarial assumptions of historical claims expense, adjusted for current trends and conditions. These estimates are continually reviewed, and the ultimate liability may vary significantly from the amounts initially recognized, which are reflected in net income (loss) in the period in which they are determined. Changes in policyholder and contract claims are recorded in policy benefits and claims in the consolidated statements of income (loss).

Reinsurance

Consistent with the overall business strategy, the Company assumes certain policy risks written by other insurance companies on a modified coinsurance or funds withheld coinsurance basis. Reinsurance accounting is applied for these assumed transactions when risk transfer provisions have been met. To meet risk transfer requirements, a long-duration reinsurance contract must transfer mortality or morbidity risks, and subject the reinsurer to a reasonable possibility of a significant loss.

With respect to ceded reinsurance, the Company values reinsurance recoverables on reported claims at the time the underlying claim is recognized in accordance with contract terms. For future policyholder benefits, the Company estimates the amount of reinsurance recoverables based on the terms of the reinsurance contracts and historical reinsurance recovery information. The reinsurance recoverables are based on what the Company believes are reasonable estimates and the balance is reported as an asset in the consolidated balance sheets. However, the ultimate amount of the reinsurance recoverable is not known until all claims are settled.

The cost of reinsurance, which is the difference between the amount paid for a reinsurance contract and the amount of the liabilities for policy benefits relating to the underlying reinsured contracts, is deferred and amortized over the reinsurance contract period for short-duration contracts, or over the terms of the reinsured policies on a basis consistent with the reporting of those policies for long-duration contracts. Generally, the Company amortizes cost of reinsurance based on policy count or effective yield method, retrospectively calculated based on actual and projected future cash flows. Cost of reinsurance assets and liabilities are reported in insurance intangibles and policy liabilities in the consolidated balance sheets, respectively. Reinsurance contracts do not relieve the Company from its obligations to policyholders, and failure of reinsurers to honor their obligations could result in losses to the Company; consequently, allowances are established for expected credit losses, via a charge to policy benefits and

claims in the consolidated statements of income (loss). The Company's funds withheld receivable at interest and reinsurance recoverable assets are reviewed for expected credit losses by considering credit ratings for each reinsurer, historical insurance industry specific default rate factors, rights of offset, expected recovery rates upon default, and the impact of other terms specific to the reinsurance arrangement.

For funds withheld and modified coinsurance agreements, the Company has the right to receive or obligation to pay the total return on assets supporting the funds withheld receivable at interest, or funds withheld payable at interest. This indirectly exposes the Company to the credit risk of the underlying assets. As a result, funds withheld and modified coinsurance agreements are viewed as total return swaps, and accounted for as embedded derivatives. Embedded derivatives are required to be separated from the host contracts and measured at fair value, with changes in fair value recognized in net income (loss). Generally, the embedded derivative is measured as the difference between the fair value of the underlying assets and the carrying value of the host contract at the balance sheet date. The fair value of the embedded derivative is included in the funds withheld receivable at interest, or funds withheld payable at interest on the consolidated balance sheets. Changes in the fair value of the embedded derivative are reported in operating activities on the consolidated statements of cash flows.

Recognition of insurance revenue and related benefits

Premiums related to whole life and term life insurance contracts and payout contracts with life contingencies are recognized in premiums in the consolidated statements of income (loss) when due from the contractholders.

Amounts received as payment for investment-type contracts are reported as deposits to contractholder account balances, and recorded in policy liabilities in the consolidated balance sheets. Revenues from these contracts consist primarily of fees assessed against the contractholder account balance for mortality, policy administration, separate account administration, and surrender charges, and are reported in policy fees in the consolidated statements of income (loss). Additionally, the Company earns investment income from the investment of contract deposits in the Company's insurance companies' general account portfolio, which is reported in net investment income (loss) in the consolidated statements of income (loss).

Fees assessed that represent compensation to the Company for benefits to be provided in future periods and certain other fees are established as a unearned revenue reserve liability and amortized into revenue over the expected life of the related contracts. Unearned revenue reserves are reported in contractholder deposit funds and other policyholder liabilities in the consolidated balance sheets and amortized into policy fees in the consolidated statements of income (loss). Benefits and expenses for these products include claims in excess of related account balances, expenses for contract administration and interest credited to contractholder account balances in the consolidated statements of income (loss).

Income taxes

The Company operates in jurisdictions where they are subject to taxation. Income taxes are provided for using the asset and liability method under which deferred tax assets and liabilities are recognized for temporary differences between the financial reporting and tax basis of assets and liabilities. Such temporary differences are primarily due to the tax basis of reserves, unrealized investment gains/losses, reinsurance balances, embedded derivatives, and net operating loss ("NOL,") carryforwards. Changes in deferred income tax assets and liabilities associated with OCI are recorded directly to accumulated OCI in the consolidated balance sheets.

The Company evaluates the likelihood of realizing the benefit of deferred tax assets and may record a valuation allowance if, based on the weight of all available evidence, the Company determines that it is

not more-likely-than-not that some or all of the tax benefit will be realized. The Company adjusts the valuation allowance if, based on its evaluation, there is a change in the amount of deferred income tax assets that are deemed more-likely-than-not to be realized.

The Company recognizes tax positions in the consolidated financial statements only when it is more-likely-than-not that the position will be sustained on examination by the relevant taxing authority, based on the technical merits of the position. A position that meets this standard is measured at the largest amount of benefit that will more-likely-than-not be realized upon effective settlement with the related taxing authority. A liability is established for differences between positions taken on a tax return and amounts recognized in the consolidated financial statements.

The Company records the effect of changes in tax laws or rates at the date of enactment. The total effect of a tax law or rate change on the deferred tax balance is recorded as a component of tax expense related to continuing operations for the period in which the law is enacted.

Such tax changes can create disproportionate tax effects, or stranded amounts in OCI, for AFS debt securities. The Company's accounting policy for clearing disproportionate tax effects relating to AFS debt securities is the aggregate portfolio approach. Under the aggregate portfolio approach, the disproportionate tax effect remains intact as long as the investment portfolio remains.

The Company reports interest expense related to income tax matters in income tax expense (benefit), and income tax penalties in general and administrative expenses in the consolidated statements of income (loss).

Future application of accounting standards

Measurement of Credit Losses for Accounts Receivable and Contract Assets

In July 2025, the FASB issued ASU 2025-05, "Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets" ("ASU 2025-05"). ASU 2025-05 simplifies the application of the current expected credit loss model for current accounts receivable and current contract assets under ASC 606. The update will be effective for annual periods and interim periods in annual reporting periods beginning after December 15, 2025. Early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on the Company's consolidated financial statements.

Improvements to income tax disclosures

In December 2023, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") 2023-09 "Improvements to Income Tax Disclosures" ("ASU 2023-09"). ASU 2023-09 intends to enhance the transparency and decision usefulness of income tax disclosures, requiring disaggregated information about an entity's effective tax rate reconciliation as well as income taxes paid. The guidance is effective for annual periods beginning after December 15, 2025, with early adoption permitted. The guidance is not expected to have a material impact on the Company's consolidated financial statements.

Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity

In May 2025, the FASB issued ASU 2025-03, "Business Combinations (Topic 805) and Consolidation (Topic 810): Determining the Accounting Acquirer in the Acquisition of a Variable Interest Entity" ("ASU 2025-03"). ASU 2025-03 requires an entity involved in an acquisition transaction effected primarily by exchanging equity interests when the legal acquiree is a variable interest entity ("VIE") that meets the definition of a business to consider factors to determine which entity is the accounting acquirer.

The update will be effective for annual periods (and interim periods in annual reporting periods) beginning after December 15, 2026. The Company does not expect the adoption to have a material impact on its consolidated financial statements.

Financial Instruments—Credit Losses (Topic 326): Purchased Loans

In November 2025, the FASB issued ASU 2025-08, Financial Instruments - Credit Losses (Topic 326) - Purchased Loans. ASU 2025-08 expands the population of purchased financial assets subject to the gross-up approach in Topic 326. As a result of this update, loans (excluding credit cards) acquired without credit deterioration and deemed “seasoned” as defined in the ASU will follow the gross-up approach at acquisition and the initial allowance for credit losses is added to the purchase price to determine the amortized cost basis of the loans. The update is effective for fiscal years beginning after December 15, 2026, including interim periods within those fiscal years, and is to be applied prospectively to loans acquired on or after adoption; early adoption is permitted. The Company is currently evaluating the impact of adopting this guidance on its consolidated financial statements.

(3) Investments

Fixed maturity securities

The cost or amortized cost and fair value for AFS fixed maturity securities were as follows:

As of December 31, 2025	Cost or amortized cost	Allowance for credit losses ⁽¹⁾	Gross unrealized		Fair value
			gains	losses	
(\$ in millions)					
AFS fixed maturity securities portfolio by type:					
U.S. government and agencies	\$ 130	\$ —	\$ —	\$ (44)	\$ 86
U.S. state, municipal, and political subdivisions	175	—	—	(37)	138
Corporate	6,078	—	68	(864)	5,282
RMBS	3,283	(25)	24	(46)	3,236
CMBS	2,373	(2)	21	(19)	2,373
CLOs	1,152	—	6	(2)	1,156
Asset-Backed Securities, or “ABSs” and other structured securities	2,107	(2)	19	(29)	2,095
Total AFS fixed maturity securities	\$ 15,298	\$ (29)	\$ 138	\$ (1,041)	\$ 14,366

- (1) Represents the cumulative amount of credit impairments that have been recognized in the consolidated statements of income (loss) (as net investment gains (losses)) or that were recognized as a gross-up of the purchase price of PCD securities. Amount excludes unrealized losses related to non-credit impairment.

As of December 31, 2024	Cost or amortized cost	Allowance for credit losses ⁽¹⁾	Gross unrealized		Fair value
			gains	losses	
(\$ in millions)					
AFS fixed maturity securities portfolio by type:					
U.S. government and agencies	\$ 593	\$ —	\$ —	\$ (69)	\$ 524
U.S. state, municipal and political subdivisions	375	—	—	(73)	302
Corporate	6,478	—	7	(1,118)	5,367
RMBS	2,487	(26)	9	(147)	2,323
CMBS	2,096	(1)	6	(59)	2,042
CBOs	392	—	—	(14)	378
CLOs	1,199	—	7	(3)	1,203
ABSs and other structured securities	684	(3)	5	(19)	667
Total AFS fixed maturity securities	\$ 14,304	\$ (30)	\$ 34	\$ (1,502)	\$ 12,806

- (1) Represents the cumulative amount of credit impairments that have been recognized in the consolidated statements of income (loss) (as net investment gains (losses)) or that were recognized as a gross-up of the purchase price of PCD securities. Amount excludes unrealized losses related to non-credit impairment.

The maturity distribution for AFS fixed maturity securities is as follows:

	As of December 31, 2025	
	Cost or amortized cost (net of allowance)	Fair value
(\$ in millions)		
Due in one year or less	\$ 69	\$ 69
Due after one year through five years	735	748
Due after five years through ten years	1,052	1,072
Due after ten years	4,527	3,617
Subtotal	6,383	5,506
RMBS	3,258	3,236
CMBS	2,371	2,373
CLOs	1,152	1,156
ABSs and other structured securities	2,105	2,095
Total AFS fixed maturity securities	\$ 15,269	\$ 14,366

Actual maturities may differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties, or the Company may have the right to put or sell the obligations back to the issuers. Structured securities are shown separately, as they have periodic payments and are not due at a single maturity.

Securities in a continuous unrealized loss position

The following tables provide information about the Company's AFS fixed maturity securities that have been continuously in an unrealized loss position:

As of December 31, 2025	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in millions)						
AFS fixed maturity securities portfolio by type:						
U.S. government and agencies	\$ —	\$ —	\$ 86	\$ (44)	\$ 86	\$ (44)
U.S. state, municipal and political subdivisions	15	(5)	122	(32)	137	(37)
Corporate	949	(105)	1,871	(759)	2,820	(864)
RMBS	134	(2)	487	(44)	621	(46)
CMBS	95	(3)	212	(16)	307	(19)
CLOs	23	—	38	(2)	61	(2)
ABSs and other structured securities	330	(23)	80	(6)	410	(29)
Total	\$ 1,546	\$ (138)	\$ 2,896	\$ (903)	\$ 4,442	\$ (1,041)

As of December 31, 2024	Less than 12 months		12 months or more		Total	
	Fair value	Unrealized losses	Fair value	Unrealized losses	Fair value	Unrealized losses
(\$ in millions)						
AFS fixed maturity securities portfolio by type:						
U.S. government and agencies	\$ 418	\$ (22)	\$ 106	\$ (47)	\$ 524	\$ (69)
U.S. state, municipal and political subdivisions	6	—	292	(73)	298	(73)
Corporate	2,382	(334)	1,899	(784)	4,281	(1,118)
RMBS	501	(10)	943	(137)	1,444	(147)
CMBS	394	(3)	859	(56)	1,253	(59)
CBOs	—	—	378	(14)	378	(14)
CLOs	44	—	56	(3)	100	(3)
ABSs and other structured securities	152	(3)	223	(16)	375	(19)
Total	\$ 3,897	\$ (372)	\$ 4,756	\$ (1,130)	\$ 8,653	\$ (1,502)

Unrealized gains and losses can be created by changing interest rates or several other factors, including changing credit spreads. The Company had gross unrealized losses on below investment grade AFS fixed maturity securities of \$36 million and \$102 million as of December 31, 2025, and 2024, respectively. The single largest loss on AFS fixed maturity securities was \$18 million and \$18 million as of December 31, 2025, and 2024, respectively. The Company had 1,592 and 2,313 securities in an unrealized loss position as of December 31, 2025, and 2024, respectively.

The Company had 870 and 1,190 securities in an unrealized loss position for twelve months or more as of December 31, 2025, and 2024, respectively. As of December 31, 2025, AFS fixed maturity securities in an unrealized loss position for twelve months or more with an allowance for credit losses had a fair value and gross unrealized losses of \$339 million and \$31 million, respectively. These fixed maturity securities primarily relate to Corporate, RMBS, and CMBS fixed maturity securities, which have depressed values due primarily to an increase in interest rates since the purchase of these securities. Unrealized losses were not recognized in net income (loss) on these debt securities since the Company neither intends to sell the securities nor does it believe that it is more likely than not that it will be required to sell these securities before recovery of their cost or amortized cost basis. For securities with significant declines in value, individual security level analysis was performed utilizing underlying collateral default expectations, market data and industry analyst reports.

Allowance for credit losses on fixed maturity securities

The table below presents a roll-forward of the allowance for credit losses recognized for fixed maturity securities held by the Company:

	Years ended December 31,			
	2025		2024	
	Structured			
(\$ in millions)				
Balance as of the beginning of period ⁽¹⁾	\$	(30)	\$	(52)
Initial impairments for credit losses recognized on securities not previously impaired		(2)		(1)
Reductions due to sales (or maturities, pay downs or prepayments) during the period of securities previously identified as credit impaired		7		5
Net additions/reductions for securities previously impaired		(4)		10
Write-offs of credit losses previous recognized		—		8
Balance as of the end of period	\$	(29)	\$	(30)

(1) Includes securities designated as purchased credit deteriorated as of the time of the KKR Acquisition.

Mortgage and other loan receivables

Mortgage and other loan receivables consist of the following:

	As of December 31,	
	2025	2024
(\$ in millions)		
Commercial mortgage loans	\$ 3,622	\$ 3,293
Residential mortgage loans	2,490	2,650
Other loan receivables ⁽¹⁾	111	102
Total mortgage and other loan receivables	6,223	6,045
Allowance for loan losses	(39)	(41)
Total mortgage and other loan receivables, net of allowance of credit losses	\$ 6,184	\$ 6,004

(1) As of December 31, 2025, other loan receivables consisted primarily of warehouse facility loans backed by residential and commercial real estate, warehouse facility loans backed by agricultural mortgages, renewable energy development loans, and other of \$31 million, \$55 million, \$9 million, and \$16 million, respectively. As of December 31, 2024, other loan receivables consisted primarily of middle market loans and warehouse facility backed by residential real estate \$71 million and \$30 million, respectively.

The maturity distribution for residential and commercial mortgage loans is as follows:

Years	As of December 31, 2025		
	Residential	Commercial	Total mortgage loans
(\$ in millions)			
2026	\$ —	\$ 832	\$ 832
2027	—	998	998
2028	1	192	193
2029	1	383	384
2030	1	35	36
2031 and thereafter	2,487	1,182	3,669
Total	\$ 2,490	\$ 3,622	\$ 6,112

Actual maturities could differ from contractual maturities, because borrowers may have the right to prepay (with or without prepayment penalties) and loans may be refinanced.

The Company diversifies its mortgage loan portfolio by both geographic region and property type to reduce concentration risk. The following tables present the mortgage loans by geographic region and property type:

Mortgage loans - carrying value by geographic region	As of December 31,					
	2025		2024			
(\$ in millions)						
Pacific	\$	1,291	21 %	\$	1,372	23 %
West South Central		594	10 %		491	8 %
South Atlantic		1,609	26 %		1,703	29 %
Mid Atlantic		811	13 %		744	13 %
East North Central		153	3 %		170	3 %
Mountain		557	9 %		540	9 %
New England		236	4 %		229	4 %
East South Central		76	1 %		74	1 %
West North Central		33	1 %		37	— %
International		138	2 %		—	— %
Other		614	10 %		583	10 %
Total by geographic region	\$	6,112	100 %	\$	5,943	100 %

Mortgage loans - carrying value by property type	As of December 31,			
	2025		2024	
	(\$ in millions)			
Residential	\$ 2,490	41 %	\$ 2,650	45 %
Office building	431	7 %	401	7 %
Apartment	2,094	34 %	2,076	35 %
Industrial	768	13 %	732	12 %
Retail	128	2 %	2	— %
Warehouse	—	— %	66	1 %
Other	201	3 %	16	— %
Total by property type	\$ 6,112	100 %	\$ 5,943	100 %

Allowance for credit losses on mortgage and other loan receivables

Changes in the allowance for credit losses are summarized below:

	Year ended December 31, 2025		
	Commercial mortgage loans	Residential mortgage loans	Total
(\$ in millions)			
Balance, at beginning of period	\$ 34	\$ 7	\$ 41
Net provision (release)	2	(3)	(1)
Charge-offs	—	(1)	(1)
Balance, as of end of period	\$ 36	\$ 3	\$ 39

	Year ended December 31, 2024		
	Commercial mortgage loans	Residential mortgage loans	Total
(\$ in millions)			
Balance, at beginning of period	\$ 23	\$ 7	\$ 30
Net provision (release)	13	1	14
Charge-offs	(2)	(1)	(3)
Balance, as of end of period	\$ 34	\$ 7	\$ 41

Credit quality indicators

Mortgage and loan receivable performance status

The following table represents our portfolio of commercial and residential mortgage loan receivables by origination year and performance status:

Performance status as of December 31, 2025	By year of origination						
	2025	2024	2023	2022	2021	Prior	Total
(\$ in millions)							
Commercial mortgage loans							
Current	\$ 416	\$ 1,513	\$ 144	\$ 538	\$ 909	\$ 102	\$ 3,622
Total commercial mortgage loans	416	1,513	144	538	909	102	3,622
Residential mortgage loans							
Gross charge-offs for the year ended December 31, 2025	—	—	—	—	—	(1)	(1)
Current	432	1,244	406	102	134	71	2,389
30 to 59 days past due	5	24	11	2	2	3	47
60 to 89 days past due	1	7	3	1	—	3	15
90 days or more past due or in process of foreclosure	—	22	7	5	2	3	39
Total residential mortgage loans	438	1,297	427	110	138	80	2,490
Total mortgage and other loan receivables	\$ 854	\$ 2,810	\$ 571	\$ 648	\$ 1,047	\$ 182	\$ 6,112

Performance status as of December 31, 2024	By year of origination						
	2024	2023	2022	2021	2020	Prior	Total
(\$ in millions)							
Commercial mortgage loans							
Gross charge-offs for the year ended December 31, 2024	\$ —	\$ —	\$ —	\$ (3)	\$ —	\$ —	\$ (3)
Current	1,435	177	582	980	—	105	3,279
Over 90 days past due	—	—	—	14	—	—	14
Total commercial mortgage loans	1,435	177	582	994	—	105	3,293
Residential mortgage loans							
Current	1,541	551	115	161	11	189	2,568
30 to 59 days past due	18	10	8	2	—	10	48
60 to 89 days past due	5	3	1	1	—	2	12
90 days or more past due or in process of foreclosure	2	3	3	3	—	11	22
Total residential mortgage loans	1,566	567	127	167	11	212	2,650
Total mortgage and other loan receivables	\$ 3,001	\$ 744	\$ 709	\$ 1,161	\$ 11	\$ 317	\$ 5,943

Loan-to-value ratio on mortgage loans

The loan-to-value ratio is expressed as a percentage of the current amount of the loan relative to the value of the underlying collateral. The following table summarizes the Company's loan-to-value ratios for its commercial mortgage loans as of December 31, 2025, and 2024:

Loan-to-value	December 31, 2025		December 31, 2024	
	Carrying value	Percentage of commercial mortgage loans	Carrying value	Percentage of commercial mortgage loans
(\$ in millions, except percentages)				
70% and less	\$ 3,095	86 %	\$ 2,869	87 %
71% - 90%	234	6 %	227	7 %
Over 90%	293	8 %	197	6 %
Total commercial mortgage loans	\$ 3,622	100 %	\$ 3,293	100 %

Loan-to-value as of December 31, 2025, by year of origination	Carrying value loan-to-value 70% and less	Carrying value loan-to-value 71% - 90%	Carrying value loan-to-value over 90%	Total carrying value
(\$ in millions)				
2025	\$ 412	\$ 4	\$ —	\$ 416
2024	1,204	16	293	1,513
2023	144	—	—	144
2022	492	46	—	538
2021	741	168	—	909
Prior	102	—	—	102
Total commercial mortgage loans	\$ 3,095	\$ 234	\$ 293	\$ 3,622

Changing economic conditions and updated assumptions affect the Company's assessment of the collectability of commercial mortgage loans. Changing vacancies and rents are incorporated into the analysis that the Company performs to measure the allowance for credit losses. In addition, the Company continuously monitors its commercial mortgage loan portfolio to identify risk. Areas of emphasis are properties that have exposure to specific geographic events or have deteriorating credit

The weighted average loan-to-value ratio for the Company's residential mortgage loans was 65.7% and 65.0% as of December 31, 2025, and 2024, respectively.

Loan modifications

The Company may modify the terms of a loan when the borrower is experiencing financial difficulties, as a means to optimize recovery of amounts due on the loan. Modifications may involve temporary relief, such as payment forbearance for a short period time (where interest continues to accrue) or may involve more substantive changes to a loan. Changes to the terms of a loan, pursuant to a modification agreement, are factored into the analysis of the loan's expected credit losses, under the allowance model applicable to the loan.

For commercial mortgage loans, modifications for borrowers experiencing financial difficulty are tailored for individual loans and may include interest rate relief, maturity extensions or, less frequently, principal forgiveness. For both residential mortgage loans and consumer loans, the most common modifications for borrowers experiencing financial difficulty, aside from insignificant delays in payment, typically involve deferral of missed payments to the end of the loan term, interest rate relief, or maturity extensions.

The table below presents the carrying value of loans to borrowers experiencing financial difficulty, for which modifications have been granted:

Year ended December 31, 2025 by loan type	Deferral of Amounts Due		Interest Rate Relief		Maturity Extension		Combination ⁽¹⁾		Total		Percentage of total carrying value outstanding
(\$ in millions)											
Commercial mortgage loans	\$	—	\$	25	\$	14	\$	—	\$	39	1.1 %
Residential mortgage loans		1		—		—		—		1	— %
Total	\$	1	\$	25	\$	14	\$	—	\$	40	

(1) Includes modifications involving deferral of amounts due, interest rate relief, or maturity extension.

Year ended December 31, 2024 by loan type	Deferral of Amounts Due		Interest Rate Relief		Maturity Extension		Combination ⁽¹⁾		Total		Percentage of total carrying value outstanding
(\$ in millions)											
Commercial mortgage loans	\$	—	\$	—	\$	—	\$	46	\$	46	1.0 %
Residential mortgage loans		1		—		—		3		4	— %
Total	\$	1	\$	—	\$	—	\$	49	\$	50	

(1) Includes modifications involving deferral of amounts due, interest rate relief, or maturity extension.

All of the commercial mortgage loans that had a combination of modifications had both interest rate relief and maturity extensions. For commercial mortgage loans granted interest rate relief, this relief generally involved either a change from a floating rate or a decrease in fixed rate to a weighted average rate of 5.0% and 5.5% for the years ended December 31, 2025, and 2024, respectively. The maturity extensions for commercial mortgage loans added a weighted-average of 1 year to the life of the loans, for the years ended December 31, 2025 and 2024, respectively. As of December 31, 2025, and 2024, respectively, the Company has commitments to lend additional funds of \$316 thousand and \$7 million for the modified commercial mortgage loans disclosed above.

The table below presents the performance status of the loans modified:

Performance status as of December 31, 2025 by loan type	Current	30-59 days past due	60-89 days past due	90 days or more past due or in process of foreclosure	Total
(\$ in millions)					
Commercial mortgage loans	\$ 39	\$ —	\$ —	\$ —	\$ 39
Residential mortgage loans	1	—	—	—	1
Total	\$ 40	\$ —	\$ —	\$ —	\$ 40

Equity method investments

As of December 31, 2025, and 2024, the Company had \$85 million and \$10 million of real assets, respectively, and \$19 million and \$21 million of other investments. These investments are accounted for using the equity method of accounting. The Company's maximum exposure to loss related to equity method investments is limited to the carrying value of these investments, plus unfunded commitments of \$59 million and \$1 million as of December 31, 2025, and 2024, respectively.

In addition, the Company has investments that would otherwise require the equity method of accounting for which the fair value option has been elected. The carrying amount of real assets and other investments for which the fair value option has been elected was \$7 million and \$775 million, respectively, as of December 31, 2025, and the carrying amount of real assets was \$18 million as of December 31, 2024.

The Company's maximum exposure to loss related to equity method investments, including those for which fair value has been elected, is limited to the carrying value of these investments plus unfunded commitments of \$26 million as of December 31, 2025.

Variable interest entities

In 2025, the Company formed certain VIEs to either (i) hold investments, including fixed maturity securities, consumer and other loans, and real assets, or (ii) to conduct certain reinsurance activities with third party commitments. These VIEs issue benefits for the Company and the Company maintains the power to direct the activities of the VIEs that most significantly impact their economic performance and bears the obligation to absorb losses or receive benefits from the VIEs that could potentially be significant.

The carrying amount and maximum exposure to loss relating to VIEs in which the Company holds a significant variable interest but is not the primary beneficiary and which have not been consolidated were as follows:

	December 31, 2025	
	Carrying amount	Maximum exposure to loss ⁽¹⁾
(\$ in millions)		
Real assets	\$ 21	\$ 21
Other investments	789	789
Total	\$ 810	\$ 810

(1) The maximum exposure to loss relating to other investments and renewable energy partnership interests is equal to the carrying amounts. The Company also has unfunded commitments of \$59 million as of December 31, 2025.

Other

As of December 31, 2025, and 2024, respectively, the value of the intercompany loan to Global Atlantic (Fin) Company was \$759 million. The intercompany loan is included in other assets in the consolidated balance sheets.

Net investment income (loss)

Net investment income (loss) is comprised primarily of (i) interest income, including amortization of premiums and accretion of discounts, (ii) earnings from investments accounted for under equity method accounting, and (iii) lease income on real assets.

The components of net investment income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Income assumed from funds withheld at interest	\$ 1,438	\$ 1,474
Fixed maturity securities	985	799
Mortgage and other loan receivables	367	253
Short-term and other investment income	134	61
Real assets	13	2
Gross investment income	2,937	2,589
Less investment expenses:		
Investment management fees	110	85
Net investment income (loss)	\$ 2,827	\$ 2,504

Net investment-related gains (losses)

Net investment-related gains (losses) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Realized gains (losses) on funds withheld payable at interest	\$ 277	\$ (59)
Net gains (losses) on derivative instruments	150	443
Unrealized gains (losses) on real assets	59	—
Unrealized gains (losses) on fixed maturity securities classified as trading	53	(119)
Credit loss allowances on mortgage and other loan receivables	1	(14)
Realized gains (losses) on real assets	1	—
Credit loss allowances on unfunded commitments	—	1
Unrealized gains (losses) on investments recognized under the fair-value option and trading	8	(19)
Credit loss allowances on AFS fixed maturity securities	(6)	9
Realized gains (losses) on other investments	(18)	12
Realized gains (losses) on funds withheld receivable at interest	(80)	(59)
Realized gains (losses) on AFS fixed maturity securities	(283)	(87)
Net investment-related gains (losses)	\$ 162	\$ 106

Proceeds and gross gains and losses from voluntary sales

The proceeds from voluntary sales and the gross gains and losses on those sales of AFS fixed maturity securities were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
AFS fixed maturity securities:		
Proceeds from voluntary sales	\$ 6,439	\$ 3,580
Gross gains	51	14
Gross losses	(334)	(101)

(4) Derivative instruments

The Company enters into hedges designated to limit the volatility associated with changes in the value of general account assets or changes to net investment income (loss) as a result of interest rate or credit spread movements, while also taking into consideration economic impacts.

The Company has embedded derivatives related to reinsurance contracts that are accounted for on a modified coinsurance and funds withheld basis; an embedded derivative exists because the arrangement exposes the reinsurer to third-party credit risk. The Company also has embedded derivatives related to insurance liabilities including fixed-indexed and variable annuities. These embedded derivatives are included in funds withheld receivable at interest, funds withheld payable at interest, and policy liabilities in the consolidated balance sheets.

Credit Risk

The Company may be exposed to credit-related losses in the event of nonperformance by its counterparties to derivatives. Generally, the current credit exposure of the Company's derivatives is limited to the positive fair value of derivatives less any collateral received from the counterparty.

The Company manages the credit risk on its derivatives by entering into derivative transactions with highly rated financial institutions and other creditworthy counterparties and, where feasible, by trading through central clearing counterparties. The Company further manages its credit risk on derivatives via the use of master netting agreements, which require the daily posting of collateral by the party in a liability position. Counterparty credit exposure and collateral values are monitored regularly and measured against counterparty exposure limits. The provisions of derivative transactions may allow for the termination and settlement of a transaction if there is a downgrade to the Company's financial strength ratings below a specified level.

The fair value and notional value of the derivative assets and liabilities were as follows:

	As of December 31, 2025			
	Fair Value			
	Gross Notional	Assets	Liabilities	
(\$ in millions)				
Derivatives designated as hedge accounting instruments:				
Interest rate contracts	\$ 209	\$ —	\$ 20	
Foreign currency contracts	219	1	5	
Total derivatives designated as hedge accounting instruments	428	1	25	
Derivatives not designated as hedge accounting instruments:				
Interest rate contracts	1,292	—	65	
Foreign currency contracts	213	—	1	
Total derivatives not designated as hedge accounting instruments	1,505	—	66	
Total derivatives after collateral	1,933	1	91	
Embedded derivative – funds withheld at interest	—	(970)	(647)	
Embedded derivative – annuity products	—	—	3,377	
Total derivatives after collateral and embedded derivatives	\$ 1,933	\$ (969)	\$ 2,821	

	As of December 31, 2024		
	Fair Value		
	Gross Notional	Assets	Liabilities
(\$ in millions)			
Derivatives designated as hedge accounting instruments:			
Interest rate contracts	\$ 120	\$ —	\$ 18
Total derivatives designated as hedge accounting instruments	120	—	18
Derivatives not designated as hedge accounting instruments:			
Interest rate contracts	1,380	—	93
Total derivatives not designated as hedge accounting instruments	1,380	—	93
Cash collateral	—	—	(16)
Total derivatives after collateral	1,500	—	95
Embedded derivative – funds withheld payable at interest	—	(925)	(995)
Embedded derivative – annuity products	—	230	2,596
Total derivatives after collateral and embedded derivatives	\$ 1,500	\$ (695)	\$ 1,696

Derivatives designated as accounting hedges

Where the Company has derivative instruments that are designated and qualify as accounting hedges, these derivative instruments receive hedge accounting.

Fair value hedges

The Company has designated foreign exchange derivative contracts, including forwards and swaps, to hedge the foreign currency risk associated with foreign currency-denominated bonds in fair value hedges. These foreign currency-denominated bonds are accounted for as AFS fixed maturity securities. Changes in the fair value of the hedged AFS fixed maturity securities due to changes in spot exchange rates are reclassified from AOCI to earnings, which offsets the earnings impact of the spot changes of the foreign exchange derivative contracts, both of which are recognized within net investment-related gains (losses). The effectiveness of these hedges is assessed using the spot method. Changes in the fair value of the foreign exchange derivative contracts related to changes in the spot-forward difference are excluded from the assessment of hedge effectiveness and are deferred in AOCI and recognized in earnings using a systematic and rational method over the life of the foreign exchange derivative contracts. The amortized cost of the AFS fixed maturity securities in qualifying foreign exchange fair value hedges was \$213 million as of December 31, 2025.

Cash flow hedges

The Company has designated bond forwards to hedge the interest rate risk associated with the planned purchase of AFS fixed maturity securities in cash flow hedges. These arrangements are hedging purchases through December 2029 and are expected to affect earnings until 2057. Regression analysis is used to assess the effectiveness of these hedges.

As of December 31, 2025, and 2024, there was a cumulative loss of \$(20) million and \$(22) million, respectively, on the currently designated bond forwards recorded in accumulated OCI. Amounts deferred in accumulated OCI are reclassified to net investment income (loss) following the qualifying purchases of AFS securities, as an adjustment to the yield earned over the life of the purchased securities, using the effective interest method.

For all cash flow hedges, the Company estimates that the amount of gains (losses) in accumulated OCI to be reclassified into earnings in the next 12 months will not be material.

Derivative results

The following table presents the financial statement classification and amount of gains (losses) recognized on derivative instruments and related hedged items, where applicable:

	Year ended December 31, 2025				
	Net investment- related gains (losses)	Net investment income (loss)	Policy benefits (claims)	Interest expense	Change in AOCI
(\$ in millions)					
Derivatives designated as hedge accounting instruments:					
Fair Value Hedges					
<i>Gains (losses) on derivatives designated as hedge instruments:</i>					
Foreign currency contracts	\$ (8)	\$ —	\$ —	\$ —	\$ 2
Total gains (losses) on derivatives designated as hedge instruments	(8)	—	—	—	2
<i>Gains (losses) on hedged items:</i>					
Foreign currency contracts	6	—	—	—	—
Total gains (losses) on hedged items	6	—	—	—	—
Total gains (losses) on fair value hedges, net of hedged items	(2)	—	—	—	2
Cash flow hedges					
Interest rate contracts	—	—	—	—	(2)
Total gains (losses) on cash flow hedges	—	—	—	—	(2)
Derivatives not designated as hedge accounting instruments:					
Interest rate contracts	11	—	—	—	—
Foreign exchange and other derivative contracts	1	—	—	—	—
Embedded derivatives - funds withheld receivable	552	—	—	—	—
Embedded derivatives - funds withheld payable	(412)	—	—	—	—
Total gains (losses) on derivatives not qualifying as hedge accounting instruments	\$ 152	\$ —	\$ —	\$ —	\$ —
Total	\$ 150	\$ —	\$ —	\$ —	\$ —

	Year ended December 31, 2024				
	Net investment-related gains (losses)	Net investment income (loss)	Policy benefits (claims)	Interest expense	Change in AOCI
(\$ in millions)					
Cash flow hedges					
Interest rate contracts	\$ —	\$ —	\$ —	\$ —	\$ 11
Total gains (losses) on cash flow hedges	—	—	—	—	11
Derivatives not designated as hedge accounting instruments:					
Interest rate contracts	(89)	—	—	—	—
Embedded derivatives - funds withheld receivable	—	541	—	—	—
Embedded derivatives - funds withheld payable	—	(9)	—	—	—
Total gains (losses) on derivatives not qualifying as hedge accounting instruments	\$ (89)	\$ 532	\$ —	\$ —	\$ —
Total	\$ (89)	\$ 532	\$ —	\$ —	\$ 11

(5) Fair value disclosure of financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (the exit price). The best evidence of fair value is a quoted price in an active market. If listed prices or quotations are not available, fair value is determined by reference to prices of similar instruments and quoted prices or recent prices in less active markets.

U.S. GAAP establishes a three-level valuation hierarchy, based upon observable and non-observable inputs. Observable inputs reflect market data obtained from independent sources, while unobservable inputs reflect the Company's market assumptions. The fair value hierarchy prioritizes inputs to the valuation techniques used to measure fair value, giving the highest priority to Level 1 inputs, and the lowest priority to Level 3 inputs. A financial instrument's level in the fair value hierarchy is based on the lowest level of any input that is significant to fair value measurement of the financial instrument. The three levels of the fair value hierarchy are described below:

Basis of fair value measurement

Level 1: Unadjusted quoted prices in active markets to which the Company had access at the measurement date for identical, unrestricted assets and liabilities.

Level 2: Inputs to valuation techniques are observable either directly or indirectly through quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations whose inputs are observable or whose significant value drivers are observable; and

Level 3: Model-derived, where one or more inputs to the valuation techniques are significant and unobservable.

The measurement of Level 3 financial instrument fair values uses unobservable inputs that are based on management judgment and the internal determination of assumptions that market participants would

use in valuing them. Valuation subjectivity increases when markets are less liquid due to the lack of more transparent, market-based inputs, which may increase the potential that estimated fair values are not reflective of the price at which an actual transaction would occur.

The following tables represent the hierarchy for the Company's assets and liabilities measured at fair value on a recurring basis:

As of December 31, 2025	Level 1		Level 2		Level 3		Total
(\$ in millions)							
Assets:							
AFS fixed maturity securities:							
U.S. government and agencies	\$	—	\$	86	\$	—	\$ 86
U.S. state, municipal and political subdivisions		—		138		—	138
Corporate		—		4,156		1,126	5,282
Structured securities		—		7,324		1,536	8,860
Total AFS fixed maturity securities		—		11,704		2,662	14,366
Trading fixed maturity securities		—		2,959		723	3,682
Foreign currency contracts		—		1		—	1
Mortgage and other loan receivables		—		—		1,119	1,119
Real assets		—		—		7	7
Reinsurance recoverable		—		—		372	372
Embedded derivative – funds withheld receivable		—		—		(970)	(970)
Other investments ⁽¹⁾		—		—		20	20
Total assets at fair value		—		14,663		3,933	18,596
Liabilities:							
Interest rate contracts		—		84		—	84
Foreign currency contracts		—		7		—	7
Embedded derivative – funds withheld payable		—		—		(647)	(647)
Policy liabilities		—		—		892	892
Embedded derivative – annuity products		—		—		3,377	3,377
Total liabilities at fair value	\$	—	\$	91	\$	3,622	\$ 3,713

- (1) Other investments excluded from the fair value hierarchy table include certain funds for which fair value is measured at net asset value per share as a practical expedient. As of December 31, 2025, the fair value of these other investments were \$769 million. These fund investments have strategies primarily focused on other investments and are subject to certain restrictions on redemption.

As of December 31, 2024	Level 1		Level 2		Level 3		Total
(\$ in millions)							
Assets:							
AFS fixed maturity securities:							
U.S. government and agencies	\$	—	\$	524	\$	—	\$ 524
U.S. state, municipal and political subdivisions		—		302		—	302
Corporate		—		4,793		574	5,367
Structured securities		—		6,132		481	6,613
Total AFS fixed maturity securities		—		11,751		1,055	12,806
Trading fixed maturity securities		—		2,971		433	3,404
Mortgage and other loan receivables		—		—		235	235
Real assets		—		—		18	18
Reinsurance recoverable		—		—		230	230
Embedded derivative – funds withheld receivable		—		—		(925)	(925)
Other investments		—		—		18	18
Total assets at fair value		—		14,722		1,064	15,786
Liabilities:							
Interest rate contracts		—		111		—	111
Embedded derivative – funds withheld payable		—		—		(995)	(995)
Cash collateral		—		(16)		—	(16)
Policy liabilities – portion at fair value option		—		—		744	744
Embedded derivative – annuity products		—		—		2,596	2,596
Total liabilities at fair value	\$	—	\$	95	\$	2,345	\$ 2,440

Fair value techniques and inputs

The following is a description of the valuation techniques and inputs used for instruments carried at fair value. The observability of the inputs used in the valuation determines the appropriate level in the fair value hierarchy for the respective asset or liability.

Investments

Investments in U.S. Treasury, government and agency securities, foreign government securities, and short-term money market securities are valued using quoted market prices for identical unrestricted instruments in active markets. Investments, such as fixed maturity securities for which quoted market prices from active markets are not available, are priced using observable inputs, which can be verified to quoted prices, recent trading activity for identical or similar instruments, broker or dealer quotations, or alternative pricing sources, with reasonable levels of price transparency. Consideration is given to the nature of the quotations and the relationship of recent market activity to the prices provided by alternative pricing sources. Other investments having one or more significant valuation inputs that are not observable are initially valued at transaction price, which is considered to be the best initial estimate of fair value. Subsequently, the Company uses other methodologies to determine fair value, which vary based on the type of investment.

Valuation inputs and assumptions are changed when corroborated by substantive observable evidence, including values realized on sales.

Derivative instruments

Derivative instruments such as exchange-traded futures and options are valued at their quoted market price. Most of the over the counter derivative instruments used by the Company are those for which all significant valuation inputs are corroborated by market evidence. These derivative instruments are principally valued using an income approach. The Company calculates the fair value of derivative assets by discounting future cash flows at a rate that incorporates counterparty credit spreads and the fair value of derivative liabilities by discounting future cash flows at a rate that incorporates the Company's own credit spreads. When appropriate, valuations are adjusted for various factors such as liquidity, bid/offer spreads, and credit considerations. Such adjustments are generally based on available market evidence.

Valuations for non-option based interest rate derivatives are based on present value techniques, which utilize significant inputs that may include the swap yield curve, Secured Overnight Financing Rate ("SOFR") basis curves, and repurchase rates. Valuations for option based interest rate derivatives are based on option pricing models, which utilize significant inputs that may include the swap yield curve, SOFR basis curves, and interest rate volatility.

Prices for foreign currency derivatives based on the exchange rates of leading industrialized nations, including those with longer tenors, are generally observable. The valuation of other derivative instruments including credit derivatives and equity market derivatives have significant unobservable inputs, such as equity volatility inputs for options that are very long dated, and are principally valued using an income approach.

Funds withheld at interest, reinsurance assets and policy liabilities

The funds withheld receivable at interest carried at fair value is primarily valued based on the fair value of the underlying investments, which have quoted prices or other observable inputs to pricing. A portion of the funds withheld receivable at interest carried at fair value represents embedded derivatives, and is valued based on the fair value of the underlying investments, which includes significant unobservable inputs. Reinsurance recoverables carried at fair value are valued using present value techniques that consider inputs including mortality and surrender rates for the associated policies.

Policy liabilities carried at fair value are valued using present value techniques that discount estimated liability cash flows at a rate that reflects the riskiness of those cash flows, and also consider policyholder behavior (lapse rates, surrender rates, and mortality). Market risk benefits liabilities are valued at fair value using a non-option and option valuation approach, based on current net amounts at risk, market data, company experience, and other factors. The funds withheld payable at interest carried at fair value represents embedded derivatives and is valued based on the change in the fair value of the assets supporting the payable. Other embedded derivative liabilities are related to the Company's fixed-indexed annuity and variable annuity products, which contain equity-indexed features. The Company calculates the embedded derivative liabilities as the present value of future projected benefits in excess of the projected guaranteed benefits, using an option budget as the indexed account value growth rate, and considering an adjustment to reflect the risk of nonperformance on the Company's obligation and inputs, such as projected withdrawal and surrender activity or mortality. The Company calculates instrument specific credit risk using a blend of observable peer holding company credit spreads, adjusted to reflect the claim paying ability of the Company's insurance entities, as well as an adjustment to reflect the priority of policy claims.

Fair value of assets and liabilities

Significant unobservable inputs

The tables below present significant unobservable inputs used to value the Company's Level 3 financial assets and liabilities, and includes only those items for which information is reasonably available, such as data from internal determinations of fair value.

As of December 31, 2025				
Level 3 assets ⁽¹⁾ and liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value ⁽²⁾
(\$ in millions)				
Corporate fixed maturity securities (AFS and trading)	\$	1,333	Discounted cash flow - discount spread	Decrease
Structured securities (AFS and trading)		2,052	Discounted cash flow - discount spread	Decrease
Mortgage and other loan receivables		1,119	Discounted cash flow - discount spread	Decrease
Reinsurance recoverable		372	<i>Policyholder behavior is a significant unobservable input, including utilization, lapse, surrender, and mortality:</i>	
			Surrender rate	Decrease
			Mortality rate	Increase
			Future costs for options used to hedge the contract obligations	Increase
Policy liabilities - portion at fair value		258	Present value of best estimate liability cash flows. Unobservable inputs include a market participant view of the risk margin included in the discount rate which reflects the variability of the cash flows.	Decrease
			<i>Policyholder behavior is also a significant unobservable input, including utilization, lapse, surrender, and mortality:</i>	
			Surrender rate	Decrease
			Mortality rate	Increase
Policy liabilities - market risk benefits		634	10 and 30 year instrument-specific credit risk	Decrease
			Policyholder behavior is also a significant unobservable input, including utilization, lapse, surrender, and mortality	Decrease
Embedded derivative – annuity products		3,377	Future costs for options used to hedge contract obligations	Increase
			<i>Policyholder behavior is a significant unobservable input, including surrender and mortality</i>	
			Surrender rate	Increase/decrease
			Mortality rate	Decrease

- The funds withheld receivable and payable at interest have been excluded from the above table. As discussed in Note 8 - Reinsurance, the funds withheld receivable and payable at interest is created through funds withheld contracts. The assets supporting these receivables and payables were held in trusts, and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

2. The directional change from an increase in the weight ascribed to the market comparables approach would increase the fair value of the Level 3 investments if the market comparables approach results in a higher valuation than the other valuation approaches. The opposite would be true if the market comparables approach results in a lower valuation than the other valuation approaches.

As of December 31, 2024				
Level 3 assets ⁽¹⁾ and liabilities			Valuation techniques and significant unobservable inputs	Impact of an increase in the input on fair value ⁽²⁾
(\$ in millions)				
Corporate fixed maturity securities (AFS and trading)	\$	661	Discounted cash flow - discount spread	Decrease
Structured securities (AFS and trading)		827	Discounted cash flow - discount spread	Decrease
			Discounted cash flow - constant prepayment rate	Increase/decrease
			Discounted cash flow - constant default rate	Decrease
			Discounted cash flow - loss severity	Decrease
Reinsurance recoverable		230	<i>Policyholder behavior is a significant unobservable input, including utilization, lapse, surrender, and mortality:</i>	
			Utilization	Increase
			Surrender rate	Decrease
			Mortality rate	Decrease
			Future costs for options used to hedge the contract obligations	Increase
Policy liabilities		744	Present value of best estimate liability cash flows. Unobservable inputs include a market participant view of the risk margin included in the discount rate which reflects the variability of the cash flows.	Decrease
			<i>Policyholder behavior is also a significant unobservable input, including utilization, lapse, surrender, and mortality:</i>	
			Surrender rate	Decrease
			Mortality rate	Increase
Market risk benefit			10 and 30 year instrument-specific credit risk	Decrease
			<i>Policyholder behavior is also a significant unobservable input, including utilization, lapse, surrender, and mortality:</i>	
			Surrender rate	Decrease
			Mortality rate	Decrease
Embedded derivative – annuity products		2,596	Future costs for options used to hedge contract obligations	Increase
			<i>Policyholder behavior is a significant unobservable input, including surrender and mortality:</i>	
			Utilization	Increase
			Surrender rate	Decrease
			Mortality rate	Decrease

1. The funds withheld receivable and payable at interest have been excluded from the above table. As discussed in Note 8 - Reinsurance, the funds withheld receivable and payable at interest is created through funds withheld contracts. The assets

supporting these receivables and payables were held in trusts, and are part of the respective counterparty's balance sheet. Accordingly, the unobservable inputs utilized in the valuation of the embedded derivative are a component of the invested assets supporting the reinsurance agreements on the Company's consolidated balance sheets.

2. The directional change from an increase in the weight ascribed to the market comparables approach would increase the fair value of the Level 3 investments if the market comparables approach results in a higher valuation than the other valuation approaches. The opposite would be true if the market comparables approach results in a lower valuation than the other valuation approaches.

Transfers between levels

Overall, transfers into and out of Level 3 are attributable to a change in the observability of inputs. Assets and liabilities are transferred into Level 3 when a significant input cannot be corroborated with market observable data. This occurs when market activity decreases significantly and underlying inputs cannot be observed, current prices are not available, and when there are significant variances in quoted prices, thereby affecting transparency. Assets and liabilities are transferred out of Level 3 when circumstances change such that a significant input can be corroborated with market observable data. This may be due to a significant increase in market activity, a specific event, or one or more significant input(s) becoming observable.

The tables below set forth a summary of gains and losses and changes in the fair value of the Company's Level 3 assets and liabilities during the dates indicated:

	Year ended December 31, 2025					
	Balance, beginning of period	Net realized and unrealized gains (losses) included in		Net settlements / purchases	Transfers in / out of Level 3	Balance, end of period
		Income	OCI			
(\$ in millions)						
Assets:						
AFS fixed maturity securities:						
Corporate	\$ 574	\$ 4	\$ 17	\$ 531	\$ —	\$ 1,126
Structured securities	481	(1)	(5)	1,067	(6)	1,536
Total AFS fixed maturity securities	1,055	3	12	1,598	(6)	2,662
Trading fixed maturity securities	433	2	—	288	—	723
Mortgage and other loan receivables	235	9	—	875	—	1,119
Real assets	18	(14)	—	3	—	7
Reinsurance recoverable	230	56	—	86	—	372
Embedded derivative – funds withheld receivable ⁽¹⁾	(1,522)	552	—	—	—	(970)
Other investments	18	(3)	—	5	—	20
Total assets	467	605	12	2,855	(6)	3,933
Liabilities:						
Policy liabilities	744	90	17	41	—	892
Embedded derivative – funds withheld payable ⁽¹⁾	(1,059)	412	—	—	—	(647)
Embedded derivative – annuity products	2,596	501	—	280	—	3,377
Total liabilities	\$ 2,281	\$ 1,003	\$ 17	\$ 321	\$ —	\$ 3,622

1. Effective January 1, 2025, the balance excludes embedded derivatives that are not recognized through the consolidated statement of income (loss).

	Year ended December 31, 2024											
	Balance, beginning of period	Net realized and unrealized gains (losses) included in		Net settlements / purchases	Transfers in / out of Level 3	Balance, end of period						
		Income	OCI									
(\$ in millions)												
Assets:												
AFS fixed maturity securities:												
Corporate	\$	201	\$	—	\$	23	\$	350	\$	—	\$	574
Structured securities		251		6		3		213		8		481
Total AFS fixed maturity securities		452		6		26		563		8		1,055
Trading fixed maturity securities		121		15		—		293		4		433
Mortgage and other loan receivables		—		—		—		235		—		235
Real assets		33		—		—		(15)		—		18
Reinsurance recoverable		97		15		—		118		—		230
Embedded derivative – funds withheld receivable		(810)		(115)		—		—		—		(925)
Other investments		21		(4)		—		1		—		18
Total assets		(86)		(83)		26		1,195		12		1,064
Liabilities:												
Policy liabilities		902		(188)		12		18		—		744
Embedded derivative – funds withheld payable		(257)		(738)		—		—		—		(995)
Embedded derivative – annuity products		1,786		256		—		554		—		2,596
Total liabilities	\$	2,431	\$	(670)	\$	12	\$	572	\$	—	\$	2,345

Year ended December 31, 2025	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in millions)					
Assets:					
AFS fixed maturity securities:					
Corporate	\$ 691	\$ —	\$ (154)	\$ (6)	\$ 531
Structured securities	1,269	—	(19)	(183)	1,067
Total AFS fixed maturity securities	1,960	—	(173)	(189)	1,598
Trading fixed maturity securities	525	—	(20)	(217)	288
Mortgage and other loan receivables	890	—	—	(15)	875
Real assets	7	—	(4)	—	3
Reinsurance recoverable	—	86	—	—	86
Other investments	5	—	—	—	5
Total assets	3,387	86	(197)	(421)	2,855
Liabilities:					
Policy liabilities	—	41	—	—	41
Embedded derivative – annuity products	—	416	—	(136)	280
Total liabilities	\$ —	\$ 457	\$ —	\$ (136)	\$ 321

Year ended December 31, 2024	Purchases	Issuances	Sales	Settlements	Net settlements / purchases
(\$ in millions)					
Assets:					
AFS fixed maturity securities:					
Corporate	\$ 896	\$ —	\$ (84)	\$ (462)	\$ 350
Structured securities	275	—	(1)	(61)	213
Total AFS fixed maturity securities	1,171	—	(85)	(523)	563
Trading fixed maturity securities	608	—	(169)	(146)	293
Mortgage and other loan receivables	235	—	—	—	235
Real assets	—	—	—	(15)	(15)
Reinsurance recoverable	—	118	—	—	118
Other investments	1	—	—	—	1
Total assets	2,015	118	(254)	(684)	1,195
Liabilities:					
Policy liabilities	—	27	—	(9)	18
Embedded derivative – annuity products	—	668	—	(114)	554
Total liabilities	\$ —	\$ 695	\$ —	\$ (123)	\$ 572

(6) Insurance intangibles

The following reflects the reconciliation of the components of insurance intangibles to the total balance reported in the consolidated balance sheets.

	As of December 31,	
	2025	2024
(\$ in millions)		
Value of business acquired	\$ 462	\$ 500
Cost of reinsurance intangibles	3,229	2,981
Total insurance intangibles	\$ 3,691	\$ 3,481

Value of business acquired

The following tables reflect the VOBA asset roll-forward by product category:

	For the year ended December 31, 2025					
	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
(\$ in millions)						
Balance, as of the beginning of the period	\$ —	\$ 258	\$ 172	\$ 49	\$ 19	\$ 500
Amortization expense	—	(19)	(15)	(2)	(2)	(38)
Balance, as of the end of the period	\$ —	\$ 241	\$ 157	\$ 47	\$ 17	\$ 462

	For the year ended December 31, 2024					
	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
(\$ in millions)						
Balance, as of the beginning of the period	\$ —	\$ 278	\$ 188	\$ 51	\$ 22	\$ 539
Amortization expense	—	(19)	(16)	(2)	(2)	(39)
Balance, as of the end of the period	\$ —	\$ 258	\$ 172	\$ 49	\$ 19	\$ 500

The following tables reflect the negative VOBA liability roll-forward by product category:

	For the year ended December 31, 2025					
	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
(\$ in millions)						
Balance, as of the beginning of the period	\$ 20	\$ 34	\$ 86	\$ 59	\$ 49	\$ 248
Amortization expense	(6)	(10)	(7)	(9)	(4)	(36)
Balance, as of the end of the period	\$ 14	\$ 24	\$ 79	\$ 50	\$ 45	\$ 212

	For the year ended December 31, 2024					
	Fixed rate annuities	Fixed indexed annuities	Variable annuities	Interest sensitive life	Other	Total
(\$ in millions)						
Balance, as of the beginning of the period	\$ 29	\$ 48	\$ 92	\$ 65	\$ 53	\$ 287
Amortization expense	(9)	(14)	(6)	(6)	(4)	(39)
Balance, as of the end of the period	\$ 20	\$ 34	\$ 86	\$ 59	\$ 49	\$ 248

Estimated future amortization of VOBA and negative VOBA as of December 31, 2025 is as follows:

Years	VOBA	Negative VOBA	Total, net
(\$ in millions)			
2026	\$ 35	\$ (28)	\$ 7
2027	33	(23)	10
2028	31	(20)	11
2029	29	(17)	12
2030	27	(15)	12
2031 and thereafter	307	(109)	198
Total	\$ 462	\$ (212)	\$ 250

(7) Policy liabilities

The following reflects the reconciliation of the components of policy liabilities to the total balance reported in the consolidated balance sheets as of the dates indicated:

	As of December 31,	
	2025	2024
(\$ in millions)		
Policyholders' account balances	\$ 74,063	\$ 66,458
Liability for future policy benefits	16,894	13,302
Additional liability for annuitization, death, or other insurance benefits	2,283	2,081
Market risk benefit liability	634	467
Other policy-related liabilities ⁽¹⁾	6,251	5,460
Total policy liabilities	\$ 100,125	\$ 87,768

- (1) Other policy-related liabilities as of December 31, 2025 and 2024 primarily consists of embedded derivatives associated with contractholder deposit funds (\$3.4 billion and \$2.6 billion, respectively), cost-of-reinsurance liabilities (\$2.3 billion and \$2.2 billion, respectively), policy liabilities accounted under a fair value option (\$259 million and \$278 million, respectively), negative VOBA (\$212 million and \$247 million, respectively) outstanding claims (\$109 million and \$70 million, respectively), and other (\$45 million and \$27 million, respectively).

Policyholders' account balances

The following reflects the policyholders' account balances roll-forward and average interest rates, net amount at risk, and cash surrender value as of and for the dates indicated:

	Year ended December 31, 2025					
	Fixed rate annuities	Fixed-indexed annuities	Interest sensitive life	Funding agreements	Other ⁽¹⁾	Total
(\$ in millions, except percentages)						
Balance as of the beginning of the period	\$ 27,040	\$ 15,943	\$ 12,216	\$ —	\$ 11,259	\$ 66,458
Issuances and premiums received	8,211	3,047	564	1,886	313	14,021
Benefit payments, surrenders, and withdrawals	(4,069)	(2,209)	(850)	(11)	(1,402)	(8,541)
Interest ⁽²⁾	1,248	540	416	38	490	2,732
Other activity ⁽³⁾	(225)	4	(495)	—	109	(607)
Balance as of the end of the period	32,205	17,325	11,851	1,913	10,769	74,063
Less: reinsurance recoverable	(9,995)	(1,439)	(6,290)	(1,276)	(6,339)	(25,339)
Balance as of the end of the period, net of reinsurance recoverable	\$ 22,210	\$ 15,886	\$ 5,561	\$ 637	\$ 4,430	\$ 48,724
Average interest rate	4.14 %	3.15 %	4.42 %	5.44 %	3.55 %	3.79 %
Net amount at risk, gross of reinsurance ⁽⁴⁾	\$ —	\$ —	\$ 48,022	\$ —	\$ 507	\$ 48,529
Cash surrender value ⁽⁵⁾	20,701	18,021	3,116	—	2,626	44,464

(1) Other consists of activity related to payout annuities without life contingencies, preneed, variable annuities, and life products.

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, funding agreements, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, assumption changes, fair value changes, and the impact of hedge fair value adjustments.

(4) Net amount at risk represents the difference between the face value of the insurance policy and the reserve accumulated under that same policy,

(5) Cash surrender values are reported net of any applicable surrender charges, net of reinsurance.

	Year ended December 31, 2024					
	Fixed rate annuities	Fixed-indexed annuities	Interest sensitive life	Other ⁽¹⁾	Total	
(\$ in millions, except percentages)						
Balance as of the beginning of the period	\$ 22,581	\$ 14,111	\$ 11,797	\$ 6,445	\$ 54,934	
Issuances and premiums received	7,986	3,644	1,392	5,713	18,735	
Benefit payments, surrenders, and withdrawals	(4,263)	(2,275)	(810)	(1,441)	(8,789)	
Interest ⁽²⁾	900	433	412	439	2,184	
Other activity ⁽³⁾	(164)	30	(575)	103	(606)	
Balance as of the end of the period	27,040	15,943	12,216	11,259	66,458	
Less: reinsurance recoverable	(5,693)	(1,001)	(6,511)	(6,543)	(19,748)	
Balance as of the end of the period, net of reinsurance recoverable	\$ 21,347	\$ 14,942	\$ 5,705	\$ 4,716	\$ 46,710	
Average interest rate	3.70 %	3.01 %	4.37 %	3.61 %	3.49 %	
Net amount at risk, gross of reinsurance ⁽⁴⁾	\$ —	\$ —	\$ 50,813	\$ 517	\$ 51,330	
Cash surrender value ⁽⁵⁾	19,777	16,547	3,207	2,741	42,272	

(1) Other consists of activity related to payout annuities without life contingencies, preneed, variable annuities, and life products.

(2) Interest includes interest credited to policyholders' account values and interest accreted in other components of the policyholders' account balance, including investment-type contract values, host amounts for contractholder deposits with embedded derivatives, and other associated reserves.

(3) Other activity includes policy charges, fees and commissions, transfers, assumption changes, fair value changes, and the impact of hedge fair value adjustments.

(4) Net amount at risk represents the difference between the face value of the insurance policy and the reserve accumulated under that same policy.

(5) Cash surrender values are reported net of any applicable surrender charges, net of reinsurance.

The following table presents the account values by range of guaranteed minimum crediting rates and the related range of difference, in bps, between rates being credited to policyholders and the respective guaranteed minimums. Account value, as disclosed below, differs from policyholders' account balance, as it excludes balances associated with index credits, contractholder deposit fund host balances, and other associated reserves. In addition, the policyholder account balance includes discounts and premiums on assumed business which are not reflected in the account value.

Range of guaranteed minimum crediting rates	As of December 31, 2025					
	Account values with adjustable crediting rates subject to guaranteed minimums:					
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total
(\$ in millions, except percentages)						
Less than 1.00%	\$ 1,378	\$ 157	\$ 173	\$ 119	\$ 12,730	\$ 14,557
1.00% - 1.99%	706	260	209	161	5,586	6,922
2.00% - 2.99%	773	14	6	23	3,958	4,774
3.00% - 4.00%	7,438	612	396	613	1,797	10,856
Greater than 4.00%	4,235	662	52	2	—	4,951
Total	\$ 14,530	\$ 1,705	\$ 836	\$ 918	\$ 24,071	\$ 42,060
Percentage of total	35 %	4 %	2 %	2 %	57 %	100 %

Range of guaranteed minimum crediting rates	As of December 31, 2024					
	Account values with adjustable crediting rates subject to guaranteed minimums:					
	At guaranteed minimum	1 - 49 bps above guaranteed minimum	50 - 99 bps above guaranteed minimum	100 - 150 bps above guaranteed minimum	Greater than 150 bps above guaranteed minimum	Total
(\$ in millions, except percentages)						
Less than 1.00%	\$ 2,061	\$ 13	\$ 182	\$ 313	\$ 12,157	\$ 14,726
1.00% - 1.99%	768	382	283	206	3,586	5,225
2.00% - 2.99%	607	19	6	617	1,863	3,112
3.00% - 4.00%	6,959	1,456	407	556	326	9,704
Greater than 4.00%	3,397	675	67	2	—	4,141
Total	\$ 13,792	\$ 2,545	\$ 945	\$ 1,694	\$ 17,932	\$ 36,908
Percentage of total	37 %	7 %	3 %	4 %	49 %	100 %

Liability for future policy benefits

The following table summarizes the balances of, and changes in, the liability for future policy benefits for limited-payment contracts for the dates indicated:

	Years ended December 31,			
	2025			2024
	Payout annuities ⁽¹⁾	Other ⁽²⁾	Total	Payout annuities and other
(\$ in millions)				
Present value of expected net premiums				
Balance as of the beginning of the period	\$ —	\$ (125)	\$ (125)	\$ —
Balance at the original discount rate	—	(125)	(125)	—
Effect of actual variances from expected experience	—	1	1	—
Adjusted beginning of period balance	—	(124)	(124)	—
Interest	—	(6)	(6)	—
Net premiums collected	—	22	22	—
Ending balance at the original discount rate	—	(108)	(108)	—
Effect of changes in discount rate assumptions	—	(3)	(3)	—
Balance as of the end of the period	—	(111)	(111)	—
Present value of expected future policy benefits				
Balance as of the beginning of the period	9,759	3,668	13,427	8,283
Balance at the original discount rate	10,867	3,736	14,603	9,187
Effect of changes in cash flow assumptions	(6)	—	(6)	(20)
Effect of actual variances from expected experience	(7)	8	1	(63)
Adjusted beginning of the period balance	10,854	3,744	14,598	9,104
Issuances	3,983	—	3,983	6,227
Interest	460	190	650	486
Benefit payments	(1,146)	(281)	(1,427)	(1,174)
De-recognition (lapses and withdrawals)	—	—	—	(40)
Ending balance at the original discount rate	14,151	3,653	17,804	14,603
Effect of changes in discount rate assumptions	(788)	(11)	(799)	(1,176)
Balance as of the end of the period	13,363	3,642	17,005	13,427
Net liability for future policy benefits	13,363	3,531	16,894	13,302
Less: reinsurance recoverable ⁽³⁾	(7,136)	(2,641)	(9,777)	(6,871)
Net liability for future policy benefits, net of reinsurance recoverables	\$ 6,227	\$ 890	\$ 7,117	\$ 6,431

(1) Payout annuities generally only have a single premium received at contract inception; as a result, the liability for future policy benefits generally would not reflect a present value for future premiums for payout annuities.

(2) Other consists of activity related to long-term care insurance, traditional life insurance, preneed insurance. Mortality and morbidity risks associated with the long-term care insurance have been ceded to a third-party reinsurer.

(3) Reinsurance recoverables associated with the liability for future policy benefits is net of the effect of changes in discount rate assumptions of \$114 million and \$(140) million for the December 31, 2025, and 2024, respectively.

The following table summarizes the amount of gross premiums and assessments related to limited-payment contracts recognized in the consolidated statements of income (loss) during the dates indicated:

	Gross premiums	
	Years ended December 31,	
	2025	2024
(\$ in millions)		
Payout annuities	\$ 3,946	\$ 2,470
Other	65	3,779
Total products	\$ 4,011	\$ 6,249

The following table reflects the weighted-average duration and weighted-average interest rates of the future policy benefit liability as of the dates indicated:

	As of December 31,		
	2025		2024
	Payout annuities	Other	Payout annuities & Other
(\$ in millions)			
Weighted-average interest rates, original discount rate	3.78 %	5.38 %	8.88 %
Weighted-average interest rates, current discount rate	5.09 %	5.32 %	10.92 %
Weighted-average liability duration (years)	7.5	10.6	20.0

The following reflects the undiscounted ending balance of expected future benefit payments and expected future gross premiums for limited-payment contracts as of the dates indicated:

	As of December 31,		
	2025		2024
	Payout annuities	Other	Payout annuities & Other
(\$ in millions)			
Expected future benefit payments, undiscounted	\$ 22,345	\$ 7,751	\$ 24,520
Expected future benefit payments, discounted (original discount rate)	14,151	3,653	14,592
Expected future benefit payments, discounted (current discount rate)	13,363	3,642	13,415
Expected future gross premiums, undiscounted	—	142	—
Expected future gross premiums, discounted (original discount rate)	—	108	—
Expected future gross premiums, discounted (current discount rate)	—	111	—

Significant inputs, judgments, and assumptions used in measuring future policy benefits

Significant policyholder behavior and other assumption inputs to the calculation of the liability for future policy benefits include discount rates, mortality, and, for life insurance, lapse rates. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the years ended December 31, 2025, and 2024, assumptions

were revised for expected mortality on certain payout annuities, resulting in a \$(6) million decrease and \$20 million increase to net income before taxes, respectively.

For the years ended December 31, 2025, and 2024, the Company recognized \$(221) million and \$115 million, respectively, in other comprehensive income (loss) due to changes in the future policy benefits estimate from updating discount rates. During the years ended December 31, 2025, and 2024, there were no changes to the methods used to determine the discount rates.

Additional liability for annuitization, death, or other insurance benefits

The following tables reflect the additional liability for annuitization, death, or other insurance benefits roll-forward for the dates indicated:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Balance as of the beginning of period	\$ 2,081	\$ 1,897
Effect of actual variances from expected experience	16	6
Adjusted beginning of the period balance	2,097	1,903
Issuances	11	11
Assessments	173	166
Benefits paid	(84)	(77)
Interest	86	78
Balance as of the end of period	2,283	2,081
Less: reinsurance recoverable	(1,755)	(1,586)
Balance, end of period, net of reinsurance recoverable and impact of unrealized investment gains and losses	\$ 528	\$ 495

The additional liability for annuitization, death, or other insurance benefits relates primarily to secondary guarantees on certain interest-sensitive life products, and preneed insurance.

The following reflects the amount of gross assessments recognized for the annuitization, death, or other insurance benefits in the consolidated statements of income (loss) for the dates indicated:

	Gross assessments	
	Years ended December 31,	
	2025	2024
(\$ in millions)		
Total amount recognized within revenue in the consolidated statements of income (loss)	\$ 187	\$ 47

The following reflects the weighted average duration and weighted average interest rate for the additional liability for annuitization, death, or other insurance benefits as of the dates indicated:

	As of December 31,	
	2025	2024
Weighted-average interest, current discount rate	4.00 %	4.00 %
Weighted-average liability duration (years)	25.3	27.9

Significant inputs, judgments, and assumptions used in measuring the additional liabilities for annuitization, death, or other insurance benefits

Significant policyholder behavior assumption inputs to the calculation of the additional liability for annuitization, death, or other insurance benefits include mortality and lapse rates. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the assumption review conducted during the years ended December 31, 2025, and 2024, the Company concluded that no changes in assumptions were needed.

Market risk benefits

The following table presents the balances of, and changes in, market risk benefits:

	Years ended December 31,					
	2025			2024		
	Fixed-indexed annuities	Variable and other annuities	Total	Fixed-indexed annuities	Variable and other annuities	Total
(\$ in millions)						
Balance as of the beginning of the period	\$ 368	\$ 99	\$ 467	\$ 390	\$ 158	\$ 548
Balance as of the beginning of the period, before impact of changes in instrument-specific credit risk	322	82	405	354	144	498
Issuances	52	—	52	27	—	27
Interest	18	5	23	19	6	25
Attributed fees collected	56	45	101	47	49	96
Benefit payments	(4)	(7)	(11)	(3)	(6)	(9)
Effect of changes in interest rates	4	16	20	(80)	(49)	(129)
Effect of changes in equity markets	(21)	(43)	(64)	(8)	(60)	(68)
Effect of actual experience different from assumptions	5	3	8	23	1	24
Effect of changes in other future expected assumptions	23	—	22	(57)	(3)	(60)
Balance as of the end of the period before impact of changes in instrument-specific credit risk	455	101	556	322	82	404
Effect of changes in instrument-specific credit risk	59	19	78	46	17	63
Balance as of end of the period	\$ 514	\$ 120	\$ 634	\$ 368	\$ 99	\$ 467
Net amount at risk	\$ 2,441	\$ 1,031	\$ 3,472	\$ 2,113	\$ 1,059	\$ 3,172
Weighted-average attained age of contract holders (years)	71.3	70.6	71.0	71.0	70.0	71.0

The following reflects the reconciliation of the market risk benefits reflected in the preceding table to the amounts reported in an asset and liability position, respectively, in the consolidated balance sheets as of the dates indicated:

	As of December 31, 2025			As of December 31, 2024		
	Asset	Liability	Net	Asset	Liability	Net
(\$ in millions)						
Fixed-indexed annuities	\$ —	\$ 514	\$ (514)	\$ 1	\$ 368	\$ (367)
Variable and other annuities	—	120	(120)	—	99	(99)
Total	\$ —	\$ 634	\$ (634)	\$ 1	\$ 467	\$ (466)

Significant inputs, judgments, and assumptions used in measuring market risk benefits

Significant policyholder behavior and other assumption inputs to the calculation of the market risk benefits include interest rates, instrument-specific credit risk, mortality rates, lapse rates, surrender rates, and utilization rates. The Company reviews all assumptions at least annually, and more frequently if necessary. Accordingly, as part of the annual assumption review conducted during the years ended December 31, 2025, and 2024, assumptions for fixed-indexed annuity surrender and partial withdrawals, and variable annuity surrender and activations were updated, which resulted in \$22 million and \$59 million decrease to net income before taxes, respectively.

For the year ended December 31, 2025, the Company recognized \$(17) million in other comprehensive income (loss) due to changes in the future policy benefits estimate from updating discount rates. During the year ended December 31, 2025, there were no changes to the methods used to determine the discount rates.

(8) Reinsurance

The Company has entered into a number of reinsurance treaties with counterparties whereby it assumes annuity and life policies on a coinsurance, modified coinsurance of funds withheld basis. The Company also maintains other reinsurance treaties including the cession of certain annuity and life reinsurance.

The effects of all reinsurance agreements on the consolidated balance sheets were as follows:

	As of December 31,	
	2025	2024
(\$ in millions)		
Policy liabilities:		
Assumed	\$ 100,125	\$ 87,768
Total policy liabilities	100,125	87,768
Ceded ⁽¹⁾	(37,959)	(28,476)
Net policy liabilities	\$ 62,166	\$ 59,292

(1) Reported within reinsurance recoverable in the consolidated balance sheets.

A key credit quality indicator is a counterparty's A.M. Best financial strength rating. A.M. Best ratings are an independent opinion of a reinsurer's ability to meet ongoing obligations to policyholders. The Company mitigates counterparty credit risk by requiring collateral and credit enhancements in various forms including engaging in funds withheld at interest and modified coinsurance transactions. The following shows the amortized cost basis of the Company's non affiliated reinsurance recoverable and

funds withheld receivable at interest by credit quality indicator and any associated credit enhancements the Company has obtained to mitigate counterparty credit risk:

A.M. Best Rating ⁽¹⁾	As of December 31, 2025			As of December 31, 2024		
	Reinsurance recoverable and funds withheld receivable at interest ⁽²⁾	Credit enhancements ⁽³⁾	Net reinsurance credit exposure ⁽⁵⁾	Reinsurance recoverable and funds withheld receivable at interest ⁽²⁾	Credit enhancements ⁽³⁾	Net reinsurance credit exposure ⁽⁵⁾
(\$ in millions)						
A	\$ 337	\$ —	\$ 337	\$ 395	\$ —	\$ 395
A-	779	794	—	857	919	—
Not rated or private rating ⁽⁴⁾	28,674	29,380	—	24,915	25,375	—
Total	\$ 29,790	\$ 30,174	\$ 337	\$ 26,167	\$ 26,294	\$ 395

(1) Ratings are periodically updated (at least annually) as A.M. Best issues new ratings.

(2) At amortized cost, excluding any associated embedded derivative assets and liabilities.

(3) Includes funds withheld payable at interest.

(4) Includes \$28.7 billion and \$24.9 billion as of December 31, 2025, and 2024, respectively, associated with cessions to certain co-investment vehicles (the "sponsored reinsurance sidecar vehicles") that participate in qualifying reinsurance transactions sourced by the Company.

(5) Includes credit loss allowance of \$7 million and \$5.7 million as of December 31, 2025, and 2024, respectively, held against reinsurance recoverable.

The Company determines the appropriate amount of reinsurance based on evaluation of the risks accepted and on market conditions (including the availability and pricing of reinsurance). The Company evaluates the financial condition and monitors concentrations of credit risk with its counterparties. Based on its review of the counterparties consolidated financial statements and reputations in the reinsurance marketplace, the Company held no allowance for uncollectible amounts as of both December 31, 2025, and 2024.

As of December 31, 2025, and 2024, respectively, the Company had \$75.3 billion and \$64.2 billion of funds withheld receivable at interest, with four counterparties related to modified coinsurance and funds withheld contracts. The assets supporting these receivables were primarily held in trusts.

The effects of reinsurance on the consolidated statements of income (loss) were as follows:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Premiums:		
Assumed	\$ 4,011	\$ 6,249
Ceded	(3,058)	(4,813)
Net premiums	953	1,436
Policy fees:		
Assumed	838	864
Ceded	(438)	(453)
Net policy fees	400	411
Policy benefits and claims:		
Assumed	8,684	9,579
Ceded	(4,857)	(6,189)
Net policy benefits and claims	\$ 3,827	\$ 3,390

The Company holds collateral for and provides collateral to our reinsurance clients. The Company held \$6.4 billion and \$6.3 billion of collateral in the form of funds withheld payable at interest on behalf of our reinsurers as of December 31, 2025, and 2024, respectively.

As of December 31, 2025, and 2024, reinsurers held collateral of \$55 million and \$52 million, respectively, on behalf of the Company. A significant portion of the collateral that the Company provides to its reinsurance clients is provided in the form of assets held in trusts for the benefit of the counterparty. As of December 31, 2025, and 2024, these trusts were required to hold, and held in excess of, \$12.2 billion and \$11.3 billion of assets to support reserves of \$11.7 billion and \$10.8 billion, respectively.

(9) Composition of other assets, liabilities, income, insurance expenses, and general and administrative expenses

Other assets consist of the following:

	As of December 31,	
	2025	2024
(\$ in millions)		
Derivative assets	\$ 1	\$ —
Right-to-use lease asset	1	2
Deferred income tax asset	206	280
Current income tax recoverable	16	9
Investment in-course of settlement ⁽¹⁾	42	508
Miscellaneous assets ⁽²⁾	826	853
Total other assets	\$ 1,092	\$ 1,652

(1) Primarily includes amounts due from third parties for investments sold for which cash settlement has not occurred.

(2) Includes related party notes receivable of \$759 million as of December 31, 2025, and 2024, respectively.

Other liabilities consist of the following:

	As of December 31,	
	2025	2024
(\$ in millions)		
Derivative liabilities	\$ 91	\$ 95
Lease liability	2	2
Investment in-course of settlement ⁽¹⁾	5	462
Accrued expenses and other payables ⁽²⁾	14	19
Total other liabilities	\$ 112	\$ 578

(1) Primarily includes amounts owed to third parties for investment purchases for which cash settlement has not occurred.

(2) Includes net related payable amount of \$1 million as of December 31, 2025.

Other income consists of the following:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Reinsurance administrative fee income	\$ 97	\$ 83
Miscellaneous income	11	13
Total other income	\$ 108	\$ 96

Insurance expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Commission expense	\$ 223	\$ 386
Reinsurance expense allowance	40	21
Premium taxes	6	10
Other insurance expenses	289	310
Total insurance expenses	\$ 558	\$ 727

General and administrative expenses consist of the following:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Professional services	\$ 9	\$ 9
Other miscellaneous general and administrative expenses	18	23
Total general and administrative expenses	\$ 27	\$ 32

(10) Shareholder's equity

The maximum number of the Company shares authorized for issuance is 370,000 common shares, at par value of \$1 per share.

Capital contributions

For the years ended December 31, 2025, and 2024, the Company has received \$635 million and \$800 million, respectively, in capital contributions from its parent.

Return of capital

For the year ended December 31, 2024, the Company has made a total of \$150 million, in returns of capital to its direct parent.

Dividends

For the year ended December 31, 2024, the Company declared and paid dividends of \$180 million, respectively.

For information on dividend restrictions on the Company, please see Note 13—"Dividend restrictions and statutory information."

(11) Accumulated other comprehensive income (loss)

Information regarding amounts reclassified out of each component of accumulated other comprehensive income (loss) as follows:

Components of accumulated other comprehensive income (loss)	Consolidated statements of income (loss) and consolidated statements of comprehensive income (loss) location	Years ended	
		December 31,	
		2025	2024
(\$ in millions)			
Net unrealized investment-gains (losses) on AFS fixed maturity securities:			
Net unrealized investment gains (losses)	Net investment-related gains (losses)	\$ (289)	\$ (78)
Income tax expense (benefit)		(3)	(16)
Net unrealized investment gains (losses), reclassified		\$ (286)	\$ (62)

(12) Income taxes

Provision for income taxes

The Company made an election under Internal Revenue Code, or "IRC," Section 953(d) for 2018 to be treated as a U.S. domestic insurance company and will be filing Form 1120 L for the tax years ended December 31, 2025, 2024 and onward.

The Company may be subject to a variety of transfer pricing or permanent establishment challenges by taxing authorities in various jurisdictions. The completion of tax examinations may result in changes to the amounts recognized in the Company's consolidated financial statements.

Income (loss) before income taxes is all attributable to the U.S. income.

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Income (loss) before income taxes:		
U.S.	\$ 283	\$ 716
Bermuda	—	—
Total	\$ 283	\$ 716

The table below presents the components of the expense for taxes attributable to continuing operations:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Current income tax expense:		
Federal	\$ 10	\$ 47
Total current income tax expense (benefit)	10	47
Deferred income tax benefit:		
Federal	46	110
Total deferred income tax expense (benefit)	46	110
Total income tax expense (benefit)	\$ 56	\$ 157

The following table reconciles the effective income tax:

	Years ended December 31,	
	2025	2024
(\$ in millions)		
Expected income tax expense at weighted average rate	\$ 60	\$ 150
Addition (reduction) in income tax resulting from:		
Effect of rates different than statutory	30	(8)
Change in valuation allowance	—	18
Foreign taxes	—	(22)
Subpart F income (loss)	—	20
Disregarded entities	(20)	—
Provision to return adjustment	(11)	—
Other	(3)	(1)
Total income tax expense (benefit)	\$ 56	\$ 157

Deferred income taxes

Deferred income taxes reflect the net effects of temporary differences between financial reporting and tax basis of assets and liabilities. These temporary differences result in taxable or deductible amounts in future years and are measured using the tax rates and laws that will be in effect when such differences are expected to reverse. Valuation allowances are established to reduce deferred tax assets to the amount that more-likely-than-not will be realized.

At each reporting date, management considers new evidence, both positive and negative, that could impact the future realization of deferred tax assets. Management will consider a release of the valuation allowance once there is sufficient positive evidence that it is more likely than not that the deferred tax assets will be realized. Any release of the valuation allowance will be recorded as a tax benefit, increasing net income or OCI. As of December 31, 2025, management recognized a valuation allowance of \$100 million.

On August 16, 2022, the Inflation Reduction Act (the "IRA") was signed into law. The IRA enacted a new 15% corporate minimum tax ("CAMT") on the "adjusted financial statement income" of certain large corporations, which became effective on January 1, 2023. As required under the authoritative guidance of ASC 740, Income Taxes, the Company reviewed the impact on income taxes due to the change in

legislation and concluded there was no material impact to the consolidated financial statements for the year ended December 31, 2025.

On January 2, 2024, KKR purchased the remaining interest in Global Atlantic, subjecting Global Atlantic to CITA. On January 2, 2024, Global Atlantic became subject to CITA and resulted in the establishment of a deferred tax asset, primarily on available-for-sale securities, which was offset by a full valuation allowance. As of December 31, 2025, a valuation allowance of \$100 million was recorded on the deferred tax assets associated with CITA as Global Atlantic does not believe those deferred tax assets will more likely than not be realized.

The table below presents the significant components of deferred tax assets and liabilities:

	As of December 31,	
	2025	2024
(\$ in millions)		
Deferred tax assets:		
Foreign	\$ 100	\$ 37
Investments, including derivatives	495	303
Net operating loss	509	550
Deferred acquisition costs	117	118
Other	—	43
Valuation allowance	(100)	(37)
Total deferred tax assets	1,121	1,014
Deferred tax liabilities:		
Insurance reserves	(784)	(628)
VOBA	(91)	(98)
Other	(40)	—
Loss reserve adjustment (transition rule)	—	(8)
Total deferred tax liabilities	(915)	(734)
Total deferred tax assets (liabilities), net	\$ 206	\$ 280

Tax attributes

As of December 31, 2025, the Company has a U.S. federal NOL carryforward of \$509 million, all of which has an indefinite life;

Unrecognized tax benefits

The Company recognizes tax positions in the consolidated financial statements. As of December 31, 2025, and 2024, the Company did not record a liability related to accounting for uncertainty in income taxes.

Status of open tax years

The Company's federal income tax returns are routinely audited by the IRS and when appropriate, provisions are made in the consolidated financial statements in anticipation of the results of these audits. The earliest tax year that remains open is 2022.

(13) Dividend restrictions and statutory information

Global Atlantic Re is subject to the Bermuda Insurance Act 1978, as amended, and related regulations (the "Bermuda Insurance Act").

The Bermuda Insurance Act limits the ability of the Company to pay dividends or make capital distributions by stipulating certain margin and solvency requirements, and by requiring approval from the BMA prior to a distribution of 15% or more of an insurer's total statutory capital as reported on its prior year statutory balance sheet. Moreover, an insurer must submit an affidavit to the BMA, sworn by at least two directors and the principal representative in Bermuda of the Bermuda insurer, at least seven days prior to payment of any dividend which would exceed 25% of an insurer's total statutory capital and surplus as reported on its prior year statutory balance sheet. The affidavit must state that, in the opinion of those swearing, the declaration of such dividend has not caused the insurer to fail to meet its relevant margins ("Bermuda Dividend Affidavit"). Accordingly, the Company may distribute up to: (1) 100% of statutory surplus; plus (2) an amount less than 15% of statutory capital, upon providing the BMA with a Bermuda Dividend Affidavit and meeting applicable solvency requirements, without BMA approval.

With respect to margin and solvency requirements, the Bermuda Insurance Act prohibits the Company from declaring or paying any dividends during any financial year if it is in breach of its solvency margin, or if the declaration or payment of such dividends would cause such a breach. If the insurer has failed to meet its minimum solvency margin on the last day of any financial year, such an insurer will also be prohibited, without the approval of the BMA, from declaring or paying any dividends during the next financial year. The Company is also prohibited from declaring or paying a dividend when it has failed to comply with its enhanced capital requirement, until such noncompliance is rectified.

As of December 31, 2025, the Company exceeded all relevant capital requirements. The aggregate amount of dividends and capital distributions permitted to be made from the Company, without a required approval from or a submission of an affidavit to the BMA during the year ended December 31, 2026, is \$1.8 billion. Dividends and capital distributions made by the Company during the year ended December 31, 2025 did not exceed the foregoing thresholds.

Statutory financial information

The Bermuda Insurance Act requires the Company to prepare and file statutory consolidated financial statements with the BMA in accordance with BMA prescribed or permitted practices that may differ from U.S. GAAP. For example, Bermuda statutory surplus differs from U.S. GAAP primarily due to a modification that permits the Company not to measure the embedded derivative included within certain funds withheld coinsurance agreements at fair value.

The Bermuda Insurance Act also requires the Company to maintain certain measures of solvency and liquidity. The Company's Bermuda statutory consolidated financial statements form the basis for assessing the Company's liquidity, minimum solvency margin, and class of registration. These consolidated financial statements in turn form the basis for the preparation of the insurer's economic balance sheet. The economic balance sheet approach is a principles-based valuation approach to determine an insurer's capital adequacy, and is used as the basis for determination of the Company's enhanced capital requirement.

(14) Related party transactions

The Company has an investment management service agreement with Kohlberg Kravis Roberts & Co. ("KKR"), the Company's ultimate parent and the ultimate parent of the GALD. KKR provides investment management services across the Company. The Company recorded expenses, included in net investment income (loss), for this agreement of \$74 million and \$60 million for the years ended December 31, 2025, and 2024 respectively.

The Company has agreements with certain affiliates under GALD. These affiliates agreed to provide personnel, management services, administrative support, the use of facilities, and such other services as the parties may agree from time to time. The Company recorded expenses of \$39 million and \$42 million for the years ended December 31, 2025, and 2024, respectively. The Company had \$1 million and \$11 million payable as of December 31, 2025, and 2024, respectively.

The Company has agreements with affiliated parties to receive and pay certain fee income and expenses related to policyholder administration for assumed blocks of business. The Company recorded policy reinsurance administration fee expenses of \$289 million and \$309 million for the years ended December 31, 2025, and 2024, respectively, and had \$71 million payable as of December 31, 2025, and 2024, respectively.

On November 13, 2020, Global Atlantic (Fin) Company entered into a \$200 million loan with the Company, with a maturity date of November 13, 2023 and an annual interest rate of 1.93%. Global Atlantic (Fin) Company pays semi-annual interest to the Company on May 15 and November 15. The loan was extended to mature on December 31, 2026 at a current annual interest rate of 3.63%.

On December 10, 2021, Global Atlantic (Fin) Company entered into a \$375 million loan with the Company, with a maturity date of March 10 2025 and an annual interest rate of 1.26%. The loan was extended to mature on December 31, 2026 at a current annual interest rate of 3.63%.

On December 27, 2022, Global Atlantic (Fin) Company entered into a \$184 million loan with the Company, with a maturity date of December 31, 2027 and a current annual interest rate of 4.21%.

The Company held related party investments in its portfolio as of December 31, 2025 as follows:

Type	Balance sheet classification	As of December 31, 2025		
		Asset carrying value	Accrued interest	Total balance sheet amount ⁽¹⁾⁽²⁾
(\$ in millions)				
KKR-issued investments	AFS fixed maturity securities	\$ 184	\$ 2	\$ 186
KKR-issued investments	Trading fixed maturity securities	31	—	31
KKR-issued investments	Other investments	769	—	769
Total related party investments		\$ 984	\$ 2	\$ 986

(1) Excludes internal securitizations of \$2.1 billion between the Company and its affiliates.

(2) Excludes funds withheld at interest balances between the Company and its affiliates.

The Company earned net investment income and net investment-related gains from related party investments, and from investments managed by related parties, as follows:

		Year ended December 31, 2025
(\$ in millions)		
Net investment income		
KKR fixed maturity securities	\$	15
Other investments		5
Total net investment income ⁽¹⁾⁽³⁾		20
Net investment-related gains		
KKR fixed maturity securities		1
Other investments		76
Total net investment-related gains ⁽²⁾⁽³⁾	\$	77

(1) Excludes income of internal securitizations of \$116 million between the Company and its affiliates.

(2) Excludes losses of internal securitizations of \$(23) million between the Company and its affiliates.

(3) Excludes funds withheld at interest balances between the Company and its affiliates.

(15) Commitments and contingencies

Commitments

The Company enters into lease contracts, the most significant being leases of office space for its operations. The Company reports these leases as right-to-use assets with a corresponding lease liability in other assets and other liabilities in the consolidated balance sheets, respectively. The lease liability represents the present value of the lease payments to be made over the lease term and is calculated using a discount rate equal to the Company incremental borrowing rates, which range from 2.4% to 7.8% depending on the term. As of December 31, 2025, the Company has a right-to-use asset of \$1 million (net of \$1 million in deferred rent and lease incentives) and a corresponding lease liability of \$2 million. As of December 31, 2024, the Company has a right-to-use asset of \$1 million (net of \$1 million in deferred rent and lease incentives) and a corresponding lease liability of \$2 million.

The Company has commitments to purchase or fund investments of \$823 million and \$149 million as of December 31, 2025, and 2024, respectively. These commitments include those related to mortgage loans. The commitment periods vary, with most extending for the next 3 years, but some extend longer. Some of these investment commitments may be subject to conditions that must be met prior to funding.

Contingencies

Guarantee

The Company is subject to financial guarantees in conjunction with reinsurance transactions entered into by Global Atlantic Assurance Limited, on July 12, 2021. In connection with the Reorganization, effective June 30, 2024, GAAL merged with and into the Company, and this guarantee became a parental guarantee. The Company provided a guarantee to pay the reinsurance recapture fee in the event GAAL's Risk Based Capital drops below 100% Company Action Level. The maximum exposure under the agreement was \$3 million as of December 31, 2025. The carrying value of the financial guarantee was zero as of December 31, 2025, inclusive of the allowance for credit losses of zero. Management's periodic evaluation and assessment of the allowance for credit losses adequacy is based on known and inherent risks, current and forecasted economic conditions, loss events, and other relevant factors.

Legal matters

As of the date of these consolidated financial statements, the Company is not involved in judicial, regulatory, or arbitration matters. The Company expects that they may, from time to time, be involved in judicial, regulatory, and arbitration proceedings concerning matters arising in connection with the conduct of the Company's business. The Company will, at such time, assess the reasonable probability that a loss may be incurred, and reflect any such reasonably probable loss on its consolidated financial statements.

(16) Subsequent events

The Company evaluated all events and transactions through April 23, 2026, the date the accompanying consolidated financial statements were available to be issued, that would merit recognition or disclosures in the consolidated financial statements, and with the exception of the matters disclosed below, determined that nothing arose that merits recognition or disclosure.

On January 16, 2026, the Company entered into a funds withheld coinsurance agreement with an affiliate reinsurance company whereby it assumed long-term care and disability products on a funds withheld basis. As of January 16, 2026, in connection to this agreement, the Company assumed long-term care and disability reserves are \$2.7 billion.